

**Auditor's Report along with Audited Financial Statements
of
Bangladesh Infrastructure Finance Fund Limited**

For the year ended 31 December 2022

**Independent Auditor's Report
To the Shareholders of Bangladesh Infrastructure Finance Fund Limited**

Opinion

We have audited the financial statements of Bangladesh Infrastructure Finance Fund Limited (the Company), which comprise the Balance Sheet as at December 31, 2022, and Profit and Loss Account and Statement of Changes in Equity and Statement of Cash Flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as at December 31, 2022, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs) as explained in note # 2 to the financial statements.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) and Bangladesh Bank and we have fulfilled our other ethical responsibilities in accordance with IESBA Code and the Institute of Chartered Accountants of Bangladesh (ICAB) Bye-Laws. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of Matters

Without modifying our opinion, we are drawing attention to the following matters:

1. In note # 8.2 to the financial statements, the Company disclosed 'Capital work in progress' amounting to BDT 8,800,000 against the implementation of Core Financial Solution/ Core Banking Service since 2019.
2. In note # 13.6 to the financial statements, the Company disclosed the reasons for transferring 'Interest on short-term investment (FDRs)' and 'Interest on loans and advances to 'Interest suspense account'.
3. In note # 13.4 to the financial statements, the Company has disclosed the status of recoverability and provision for leases, loans, advances, investment, and others.
4. In note # 2.11.02 to the financial statements, among others the Company disclosed the reason for not making any provision for workers' profit participation fund.
5. In note # 4.4.1 to the financial statements the Company disclosed the reason for preparing the liquidity statement without considering the remaining maturity.



Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of 2022. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Risk	Our response to the risk
Measurement of provision for loans and advances	
The process for estimating the provision for loans and advances portfolio associated with credit risk is significant and complex. For the individual (party-wise) analysis, these provisions consider the estimates of future business performance and the market value of the collateral provided for credit transactions. At year end the Company reported total gross loans and advances of BDT 18,856,953,828 (2021: BDT 16,394,424,310) and provision for loans and advances at the year-end BDT 1,037,926,562 (2021: BDT 951,943,505). We have focused on the following significant judgments and estimates which could give rise to a material misstatement or management bias: • Completeness and timing of recognition of loss events in accordance with criteria set out in FID circular no 08, dated 03 August 2002, FID circular no. 03, dated 03 May 2006, FID circular no.03 dated 29 April 2013 and DFIM circular no.04 dated 26 July 2021; • For assessed provisions, the measurement of the provision may be dependent on the valuation of collateral, estimates of exit values and the timing of cash flows; and • Provision measurement is primarily dependent upon key assumptions relating to the probability of default, the ability to repossess collateral, and recovery rates.	We tested the design and operating effectiveness of key controls focusing on the following: • Tested the credit appraisal, loan disbursement procedures, monitoring and provisioning process; • Reviewed the process of identification of loss events, including early warning and default warning indicators and • Reviewed quarterly Classification of Loans (CL); Our substantive procedures in relation to the provision for loans and advances portfolio comprised the following: • Reviewed the adequacy of the Company's general and specific provisions; • Assessed the methodologies on which the provision amounts based, recalculated the provisions and tested the completeness and accuracy of the underlying information; and • Finally assessed the appropriateness and presentation of disclosures against relevant accounting standards and Bangladesh Bank guidelines.
See note # 7 and 13.5 to the financial statements.	

Risk	Our response to the risk
Borrowing from other banks and other financial institutions	
We focused on this area because the Company receives loans from different donor agencies through GoB to implement infrastructure development projects in Bangladesh. Such an arrangement should be guided by strict internal control. Any non-compliance of the financing agreements with the donor agencies may create major credit risk for the Company.	In responding to the identified key audit matter, we have performed the following procedures: • Checked the drawdowns of borrowings from donor agency's server on a sample basis; • Reviewed the repayments made to the agencies as required on a sample basis; • Recalculated repayment schedule of the loans from donor agencies on a sample basis and • Reviewed the agreements with the donor agencies and checked whether the Company has complied with the requirements of the agreements on a sample basis.
See note # 11 to the financial statements.	
IT systems and controls	
Our audit procedures have a focus on IT systems and controls due to the pervasive nature and complexity of the IT environment, the large volume of transactions processed in numerous locations daily and the reliance on automated and IT-dependent manual controls.	We tested the design and operating effectiveness of the Company's IT access controls over the information systems that are critical to financial reporting. We tested IT general controls (logical access, changes management and aspects of IT operational controls). This included testing that requests for access to systems were appropriately reviewed and authorized. We tested the Company's periodic review of access rights and reviewed requests of changes to systems for appropriate approval and authorization. We considered the control environment relating to various interfaces, configuration and other application-layer controls identified as key to our audit.
See note # 2.25 to the financial statements.	

Other Matter

During our audit, we checked the Information Technology General Controls (ITGC) of the Company and observed that there are rooms for further improvements, which are being communicated to the management through our letter to the management for their consideration and taking action.

Other Information

Management is responsible for the other information. The other information comprises all of the information in the Annual Report other than the financial statements and our auditor's report thereon. The Annual Report is expected to be made available to us after the date of this auditor's report.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRSs as explained on note # 2 and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the Company's financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on other Legal and Regulatory Requirements

In accordance with the Companies Act 1994, the Financial Institutions Act, 1993 and the rules and regulations issued by Bangladesh Bank, we also report the following:

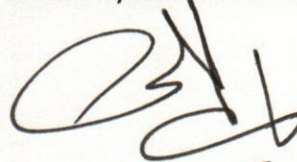
- a) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit and made due verification thereof;
- b) in our opinion, proper books of accounts as required by law have been kept by the Company so far as it appeared from our examination of those books;
- c) the balance sheet and profit and loss account together with the annexed notes dealt with by the report are in agreement with the books of accounts and returns;
- d) the expenditure incurred was for the purposes of the Company's business for the year;
- e) The financial statements of the Company have been drawn up in conformity with Financial Institutions Act, 1993 and in accordance with International Financial Reporting Standards as explained in notes as well as with related guidance, circulars issued by Bangladesh Bank;
- f) adequate provisions have been made for loans, leases, investment, advances and other assets which are, in our opinion, doubtful of recovery and Bangladesh Bank's instructions in this regard have been followed properly;
- g) the financial statements of the Company conform to the prescribed standards set in the accounting regulations which were issued by Bangladesh Bank after consultation with the professional accounting bodies of Bangladesh;
- h) statements sent to Bangladesh Bank have been checked on a sample basis and no inaccuracy has come to our attention;

- i) taxes and other duties were collected and deposited in the Government treasury by the Company as per Government instructions found satisfactory based on test checking;
- j) nothing has come to our attention that the Company has adopted any unethical means i.e. 'window dressing' to inflate the profit and mismatch between the maturities of assets and liabilities;
- k) proper measures have been taken to eliminate the irregularities mentioned in the inspection report of Bangladesh Bank and the instructions which were issued by Bangladesh Bank and other regulatory authorities have been complied properly as disclosed to us by management;
- l) based on our work as mentioned above under the auditor's responsibility section, the internal control and the compliance of the Company is satisfactory, and effective measures have been taken to prevent possible material fraud, forgery and internal policies are being followed appropriately;
- m) the Company has complied with relevant laws pertaining to capital, reserve and net worth, cash and liquid assets and procedure for sanctioning and disbursing loans/leases found satisfactory;
- n) We have reviewed over 80% of the risk-weighted assets of the Company, and we have spent around 2150 person-hours for the audit of the books and accounts of the Company;
- o) the Company has complied with relevant instructions which were issued by Bangladesh Bank relevant to classification, provisioning and calculation of interest suspense;
- p) the Company has complied with the "First Schedule" of the Bank Company Act, 1991 in preparing these financial statements; and
- q) all other issues which in our opinion are important for the stakeholders of the Company have been adequately disclosed in the audit report.

Dated, Dhaka

14 JUN 2023

ACNABIN, Chartered Accountants



Muhammad Aminul Hoque, FCA
Partner

ICAB Enrolment # 1129

DVC:2306141129AS458267

Bangladesh Infrastructure Finance Fund Limited
Balance Sheet
As at 31 December 2022

Particulars	Notes	Amount in Taka	
		31-Dec-22	31-Dec-21
Property and Assets			
Cash	3	1,109,263	15,293,480
In hand (including foreign currencies)		65,355	94,713
Balance with Bangladesh Bank and its agent bank(s) (including foreign currencies)		1,043,908	15,198,767
Balance with banks and other financial institutions	4	18,012,223,533	18,836,570,703
Inside Bangladesh		18,012,223,533	18,836,570,703
Outside Bangladesh		-	-
Money at call and on short notice	5	26,900,000	26,900,000
Investments:	6	6,544,408,000	2,591,151,513
Government		4,848,408,000	-
Others		1,696,000,000	2,591,151,513
Loans and advances	7	18,856,953,828	16,394,424,310
Loans, cash credits, overdrafts etc.		18,856,953,828	16,394,424,310
Bills purchased and discounted		-	-
Fixed assets including premises, furniture and fixtures	8	190,814,389	203,647,232
Other assets	9	5,679,309,690	5,453,215,247
Non-banking assets	10	-	-
Total Property and Assets		49,311,718,703	43,521,202,485
Liabilities and Shareholders' Equity			
Liabilities			
Borrowing from other banks, financial institutions and agents	11	11,782,015,689	7,133,286,673
Deposits and other accounts	12	-	-
Current accounts and other accounts etc.		-	-
Bills payable		-	-
Savings bank deposits		-	-
Term deposits		-	-
Bearer certificate of deposits		-	-
Other deposits		-	-
Other liabilities	13	10,481,498,849	9,856,344,792
Total Liabilities		22,263,514,538	16,989,631,465
Capital/Shareholders' Equity		27,048,204,165	26,531,571,020
Paid up capital	14	23,080,000,000	23,080,000,000
Statutory reserve	15	2,042,157,462	1,889,879,355
General reserve	16	200,000,000	150,000,000
Retained earnings	17	1,726,046,703	1,411,691,666
Total Liabilities and Shareholders' Equity		49,311,718,703	43,521,202,485



Particulars	Notes	Amount in Taka	
		31-Dec-22	31-Dec-21
OFF-BALANCE SHEET ITEMS :			
Contingent liabilities	18	247,158,051	247,158,051
Acceptances and endorsements		-	-
Letter of comfort	18.1	247,158,051	247,158,051
Irrevocable letter of credit		-	-
Bills for collection		-	-
Other contingent liabilities		-	-
Other commitments		-	-
Documentary credits and short term trade-related transactions		-	-
Forward assets purchased and forward deposits placed		-	-
Undrawn note issuance and revolving underwriting facilities		-	-
Undrawn formal standby facilities, credit lines		-	-
Others		-	-
Total Off-Balance Sheet Items including contingent liabilities		247,158,051	247,158,051
Net Asset Value (NAV) per share	38	117.19	114.95

Annexed notes form an integral part of these financial statements.


Company Secretary

Chief Executive Officer

Director

Chairman

Signed as per our report on same date

Dated, Dhaka

22 MAY 2023

ACNABIN Chartered Accountants



Muhammad Aminul Hoque FCA

Partner

ICAB Enrolment Number # 1129

DVC:2306141129AS458267

Bangladesh Infrastructure Finance Fund Limited
Profit and Loss Account
For the year ended 31 December 2022

Particulars	Notes	Amount in Taka	
		31-Dec-22	31-Dec-21
Operating Income			
Interest income from leases, loans and advances	20	1,124,279,457	1,370,359,895
Less: Interest expenses on deposits & borrowings etc.	21	199,329,631	119,530,730
Net interest income		924,949,826	1,250,829,165
Investment income	22	242,851,869	290,892,324
Commission, exchange and brokerage		-	-
Other operating income	23	939,576,473	689,999,574
Total operating income		2,107,378,168	2,231,721,063
Operating Expenses			
Salary and allowances	24	77,575,580	65,342,353
Rent, taxes, insurance, electricity etc.	25	2,648,664	2,101,236
Legal expenses	26	1,667,093	351,094
Postage, stamp, telecommunication etc.	27	4,481,637	2,323,655
Stationery, printing, advertisement etc.	28	1,559,210	1,846,658
Managing Director's salary and allowances	29	9,640,000	9,236,712
Directors' fees	30	1,136,646	953,316
Auditors' fees	31	244,865	410,350
Charges on loan losses		-	-
Depreciation and repairs of company's assets	32	14,885,915	20,605,411
Other operating expenses	33	24,189,111	19,029,721
Total operating expenses		138,028,721	122,200,505
Profit before provision		1,969,349,447	2,109,520,558
Provision for investment, leases, loans and advances	34	335,983,057	435,395,758
Provision for diminution in value of investments		-	-
Other provision	35	200,000,000	250,595,221
Total provision		535,983,057	685,990,979
Total profit before income tax		1,433,366,390	1,423,529,579
Provision for income tax	36	671,975,854	811,134,997
Net profit after tax & provision		761,390,536	612,394,582
Appropriations to:		202,278,107	172,478,916
Statutory reserve	15	152,278,107	122,478,916
General reserve	16	50,000,000	50,000,000
Retained surplus		559,112,429	439,915,666
Earnings per share (EPS)	37	3.30	2.65

Annexed notes form an integral part of these financial statements.


Company Secretary

 
Chief Executive Officer Director


Chairman

Signed as per our report on same date

Dated, Dhaka

22 MAY 2023

ACNABIN Chartered Accountants



Muhammad Aminul Hoque FCA
Partner
ICAB Enrolment Number # 1129

DVC:2306141129AS458267

Bangladesh Infrastructure Finance Fund Limited
Statement of Cash Flows
For the year ended 31 December 2022

Particulars	Notes	Amount in Taka	
		31-Dec-22	31-Dec-21
A. Cash flow from operating activities:			
Interest received		1,279,870,624	1,570,158,881
Interest paid		(51,586,291)	(52,836,810)
Dividend received		33,678,252	206,358,126
Interest received from commercial paper & bond		103,032,190	116,000,080
Cash paid to employees		(82,317,724)	(67,982,148)
Cash paid to suppliers		(10,661,767)	(6,185,445)
Income taxes paid		(964,276,116)	(685,646,513)
Received from other operating activities		939,943,120	692,611,852
Paid for other operating activities		(23,809,136)	(20,068,591)
Cash generated from operating activities		1,223,873,152	1,752,409,431
Increase/(decrease) in operating assets and liabilities, statutory deposits			
Loans and advances to other banks		-	-
Investment		-	-
Loans and advances to other customers		(2,145,144,902)	1,827,118,467
Other assets		(60,125)	(3,945)
Borrowings from banks, financial institutions and agents		4,326,413,626	2,200,270,214
Deposits from other banks /institutions		-	-
Other liabilities		206,044,929	196,792,621
		2,387,253,529	4,224,177,357
Net cash flow from/(used in) operating activities		3,611,126,681	5,976,586,788
B. Cash flow from investing activities:			
Purchase of property, plant and equipment net of disposal proceeds		(1,443,746)	(177,154)
Proceed from investment in securities		645,151,513	577,877,242
Investment made during the period		(4,848,408,000)	-
Proceeds from disposal of fixed assets		-	436,000
Net cash flow from/(used in) investing activities		(4,204,700,233)	578,136,088
C. Cash flow from financing activities:			
Dividend paid		(244,957,833)	(216,629,645)
Issuance of shares		-	-
Net cash used in financing activities		(244,957,833)	(216,629,645)
D. Net increase/(decrease) in cash and cash equivalents (A+B+C)		(838,531,385)	6,338,093,231
E. Effects of exchange rate changes on cash and cash equivalents		-	-
F. Cash and cash equivalents at the beginning of the year		18,878,764,183	12,540,670,953
G. Cash and cash equivalents at the end of the year (D+E+F)		18,040,232,797	18,878,764,183
Cash and cash equivalents at the end of the year			
Cash in hand	3.1	65,355	94,713
Balance with Bangladesh Bank and its agent bank(s)	3.2	1,043,908	15,198,767
Balance with other banks and financial institutions	4	18,012,223,533	18,836,570,703
Money at call and short notice	5	26,900,000	26,900,000
		18,040,232,797	18,878,764,183
Net operating cash flow per share (NOCFPS)	39	15.65	25.90

Annexed notes form an integral part of these financial statements.


Company Secretary

Chief Executive Officer

Director

Chairman


Bangladesh Infrastructure Finance Fund Limited
Statement of Changes in Equity
For the year ended 31 December 2022

Particulars	Amount in Taka				
	Paid-up capital	Statutory reserve	General Reserve	Retained earnings	Total
Balance as on 1 January 2021	23,080,000,000	1,767,400,439	100,000,000	1,188,405,645	26,135,806,084
Net profit for the year	-	-	-	-	-
Cash dividend	-	-	-	612,394,582	612,394,582
Share issue	-	-	-	(216,629,645)	(216,629,645)
Stock dividend	-	-	-	-	-
Appropriations made during the year	-	122,478,916	50,000,000	(172,478,916)	-
Balance as on 31 December 2021	23,080,000,000	1,889,879,356	150,000,000	1,411,691,665	26,531,571,021
Balance as on 1 January 2022	23,080,000,000	1,889,879,356	150,000,000	1,411,691,665	26,531,571,021
Net gains and losses not recognised on foreign currency transactions	-	-	-	200,442	200,442
Net profit for the year	-	-	-	761,390,536	761,390,536
Share issue	-	-	-	-	-
Cash dividend	-	-	-	(244,957,833)	(244,957,833)
Stock dividend	-	-	-	-	-
Appropriations made during the year	-	152,278,107	50,000,000	(202,278,107)	-
Balance as on 31 December 2022	23,080,000,000	2,042,157,463	200,000,000	1,726,046,702	27,048,204,165

Annexed notes form an integral part of these financial statements.



Company Secretary



Chief Executive Officer



Director



Chairman



Bangladesh Infrastructure Finance Fund Limited
Liquidity Statement
Asset and Liability Maturity Analysis
As at 31 December 2022

Particulars	Amount in Taka					Total
	Not more than 1 month term	1 to 3 months	3 to 12 months	1 to 5 years	More than 5 years	
Assets						
Cash in hand and balance with Bangladesh Bank and its agent bank(s)	1,109,263	-	-	-	-	1,109,263
Balance with banks and other financial institutions (note 4.4 and 4.4.1)	12,321,564,375	1,793,634,735	867,672,926	3,029,351,497	-	18,012,223,533
Money at call and short notice	26,900,000	-	-	-	-	26,900,000
Investments	-	1,107,366,000	4,128,042,000	1,138,000,000	171,000,000	6,544,408,000
Loans and advances	103,118,291	1,153,556,347	2,307,165,621	11,000,000,000	4,293,113,570	18,856,953,828
Fixed assets including land, buildings, furniture and fixtures	-	-	-	-	190,814,389	190,814,389
Other assets	17,332,057	45,970,280	141,645,222	-	5,474,362,130	5,679,309,690
Non-banking assets	-	-	-	-	-	-
Total Assets (A)	12,470,023,986	4,100,527,362	7,444,525,769	15,167,351,497	10,129,290,089	49,311,718,703
Liabilities						
Borrowing from other banks, financial institutions and agents	607,500	451,753,825	215,562,305	2,806,553,232	8,307,538,826	11,782,015,689
Deposits	-	-	-	-	-	-
Other accounts	-	-	-	-	-	-
Provision and other liabilities	6,062,060	717,056	41,019,212	-	10,433,700,521	10,481,498,849
Total Liabilities (B)	6,669,560	452,470,881	256,581,517	2,806,553,232	18,741,239,347	22,263,514,538
Net liquidity gap (A-B)	12,463,354,426	3,648,056,481	7,187,944,252	12,360,798,265	(8,611,949,258)	27,048,204,165

Annexed notes form an integral part of these financial statements.


 Company Secretary


 Chief Executive Officer


 Director


 Chairman



Bangladesh Infrastructure Finance Fund Limited
Notes to the Financial Statements
For the year ended 31 December 2022

1 Reporting entity

1.01 Company profile

Bangladesh Infrastructure Finance Fund Limited hereinafter also referred to as 'BIFFL' started its journey as a Public Limited Company on 21 March 2011, registered under Company's Act 1994 (ACT XVIII of 1994). The authorized share capital of the Company is BDT100 (one hundred) billion divided into 1 (one) billion shares of BDT100 each and the subscribed share capital or paid-up capital is BDT23.08 billion. Certificate of Incorporation was issued by the Registrar of Joint Stock Companies and Firms (RJSC). The business of the Company had commenced from the same date and the Certificate of Commencement of business was also issued by RJSC. BIFFL has also received license from Bangladesh Bank on 16 October 2011 to operate as a Non-Bank Financial Institution under the Financial Institutions Act 1993.

Presently, the Company has an 8-member Board of Directors. The overall policy decisions of the Company are vested with the Board of Directors. The Board of Directors of BIFFL includes: Senior Secretary, Finance Division, MoF; Secretary, Power Division, MoPEMR; Secretary, Road Transport and Highways' Division, MoRT&B; Secretary, Bridges Division, MoRT&B; Senior Secretary, Energy & Mineral Resources Division, MoPEMR; Senior Secretary, Prime Minister's Office; Secretary, Economic Relations Divisions, MoF; and Joint Secretary, Finance Division, MoF. The Senior Secretary, Finance Division, Ministry of Finance is the Chairman of the Board. The CEO is an ex-officio member of the Board.

1.02 Nature of business

The Government of Bangladesh (GoB) has prioritized PPP program as a key initiative for increasing the investment in infrastructure. In order to create an enabling environment for attracting private investments on a sustainable basis, the GoB has also provided keen interest and attention to promote PPP in the country and also taken a series of important measures. As part of it, GoB has established BIFFL under Ministry of Finance (MoF) as a Special Purpose Vehicle (SPV) for financing infrastructure projects in Bangladesh. BIFFL has been designed to serve as channel for mobilizing domestic and foreign private resources along with the public fund through Private-Public Partnership, popularly known in its short form as 'PPP'.

The main objective of BIFFL is to provide predominantly long-term financing for infrastructure projects through issuance of bonds and debt instruments and equity offerings. BIFFL envisages attracting private investments from local & foreign investors and to invest in companies that are implementing infrastructure projects in Bangladesh.

The main goals of the company are to supplement in achieving SDG 2030 and Vision 2041 of the Government through investment in infrastructure as well as sustainable development projects; to ensure adequate infrastructure development of the country through promotion of PPP; to cater to the requirements of critically important infrastructure projects through customized and structured financial solutions; and to bring in dynamism and necessary expertise in the financial industry for financing infrastructure projects.

BIFFL promotes, encourages and finances private sector investment in all critical infrastructure sectors, but not limited to the Power and Energy, Natural Resource Development, Fertilizer, Transportation System, Port Development, Air & Railway Transportation Projects, Tourism Infrastructure, Telecommunication System, Utility & Environment Management, Green & Renewable Energy Efficient Projects, Social and Industrial Infrastructure Projects, Poverty Alleviation Projects, and Urban & Rural Development Projects.

2 Significant accounting policies and basis of preparation of financial statements

2.01 Statement of compliance and basis of preparation

The Financial Reporting Act, 2015 (FRA) has been enacted during the year 2015. Under the FRA, the Financial Reporting Council (FRC) is to be formed and it is empowered to issue financial reporting standards for public interest entities such as Financial Institutions (FIs). The Financial Institutions Act, 1993 has been amended as required to comply for the preparation of their financial statements under such financial reporting standards. The FRC has been formed and adopted International Financial Reporting Standards (IFRSs), and International Accounting Standards (IASs) as mentioned in the FRC notification no. 146/FRC/Admin/Notification/2020/67 dated 02 November 2020.



Accordingly, the financial statements of the Company continue to be prepared in accordance with International Financial Reporting Standards (IFRSs) and the requirements of the Financial Institutions Act, 1993, the rules and regulations issued by Bangladesh Bank, the Companies Act, 1994, the Securities and Exchange Rules, 1987. In case of any requirement of the Financial Institutions Act, 1993, and circulars issued by Bangladesh Bank, which differ with those of IFRSs, the requirements of the Financial Institutions Act, 1993, and circulars issued by Bangladesh Bank shall prevail. The financial statements have been prepared on historical cost basis.

2.02 Disclosure of departure from few requirements of IASs/IFRSs due to mandatory compliance of Bangladesh Bank's requirements

The Bangladesh Bank is the prime regulatory body for Non-Banking Financial Institutions (NBFI) in Bangladesh. Some requirements of Bangladesh Bank's rules and regulations differ with the requirements of IASs/IFRSs. As such the Company has departed from those contradictory requirements of IASs/IFRSs in order to comply with the rules and regulations of Bangladesh Bank which are disclosed below:

2.02.01 Valuation of Investments in quoted and unquoted shares and securities

IFRS:

As per requirements of IFRS 9, classification and measurement of investment in shares and securities will depend on how these are managed (the entity's business model) and their contractual cash flow characteristics. Based on these factors it would generally fall either under "at fair value through profit or loss account" or under "at fair value through other comprehensive income" where any change in the fair value (as measured in accordance with IFRS 13) at the year-end is taken to profit and loss account or other comprehensive income respectively.

Bangladesh Bank:

As per FID circular No. 08, dated 03 August 2002 investments in quoted shares and unquoted shares are revalued at the year end at market price and as per book value of last audited balance sheet respectively. Provision should be made as per Bangladesh Bank DFIM circular No. 02 dated January 31, 2012 for investments in marketable securities and as per Bangladesh Bank DFIM circular No. 05 dated May 11, 2015 for Mutual funds.

There is no financial impact during the year.

2.02.02 Provision on loans and advances

IFRS:

As per IFRS 9 an entity shall recognise an impairment allowance on loans and advances based on expected credit losses. At each reporting date, an entity shall measure the impairment allowance for loans and advances at an amount equal to the lifetime expected credit losses if the credit risk on these loans and advances has increased significantly since initial recognition whether assessed on an individual or collective basis considering all reasonable information, including that which is forward-looking. For those loans and advances for which the credit risk has not increased significantly since initial recognition, at each reporting date, an entity shall measure the impairment allowance at an amount equal to 12 month expected credit losses that may result from default events on such loans and advances that are possible within 12 months after reporting date.

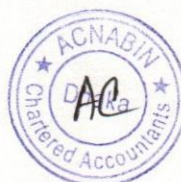
Bangladesh Bank:

As per FID circular No. 08, dated 03 August 2002, FID circular No. 03, dated 03 May 2006 and FID circular No. 03, dated 29 April 2013, a general provision at 0.25% to 5% under different categories of unclassified loans (good/ standard loans) has to be maintained irrespective of objective evidence of impairment on loans and advances. Also provision for sub-standard investments, doubtful investments and bad losses has to be provided at 20%, 50% and 100% respectively for investments depending on the duration of overdue.

2.02.03 Financial instruments - presentation and disclosure

In several cases Bangladesh Bank guidelines categories, recognise, measure and present financial instruments differently from those prescribed in IFRS 9. As such some disclosure and presentation requirements of IFRS 7 'Financial Instruments: Disclosures' and IAS 32 'Financial Instruments: Presentation' cannot be made in the accounts.

Presentation of financial statements is not fully aligned with all the requirements of IAS/IFRS.



2.02.04 Financial guarantees

IFRS:

As per requirements of IFRS 9, financial guarantees are contracts that require an entity to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payment when due in accordance with the terms of a debt instrument. Financial guarantee liabilities are recognised initially at their fair value, and the initial fair value is amortised over the life of the financial guarantee. The financial guarantee liability is subsequently carried at the higher of this amortised amount and the present value of any expected payment when a payment under the guarantee has become probable. Financial guarantees are included within other liabilities.

Bangladesh Bank:

As per the requirements of DFIM circular no. 11 dated 23 December 2009, financial guarantees such as L/C, L/G will be treated as off balance sheet items. No liability is recognised for the guarantee except the cash margin.

There will be no financial changes due to departure

2.02.05 Cash and cash equivalents

IFRS:

Cash equivalents are short term, highly liquid investments that are readily convertible to known amounts of cash and only include those investments which are for a short tenure like: 3 months or less period. In the light of above, balance with Bangladesh Bank and fixed term deposits should be treated as investment asset rather than cash equivalents as it is illiquid asset and not available for use in day to day operations.

Bangladesh Bank:

Bangladesh Bank has issued templates for financial statements vide DFIM circular No. 11, dated 23 December 2009 which will strictly be followed by all NBFIs. The templates of financial statements provided detail presentation for statement of cash flows.

Presentation of financial statements is not fully aligned with the requirement of IAS.

2.02.06 Non-banking assets

IFRS:

There is no particular/specific guideline about non-banking assets in IFRSs.

Bangladesh Bank:

As per the requirements of DFIM circular no. 11 dated 23 December 2009, there must exist a face item named non-banking asset.

This is a presentation issue and there is no financial impact

2.02.07 Statement of cash flows

IFRS:

Cash flow statement can be prepared either in direct method or in indirect method. The presentation is selected to present these cash flows in a manner that is most appropriate for the business or industry. The method selected is applied consistently.

Bangladesh Bank:

As per the requirements of DFIM circular no. 11 dated 23 December 2009, statement of cash flows is a mixture of direct and indirect method.

Presentation of statement of cash flows is not fully aligned with the requirement of IAS/IFRS and there is no financial impact.

2.02.08 Balance with Bangladesh Bank

IFRS:

Balance with Bangladesh Bank should be not be treated as cash and cash equivalents as it is not available for use in day to day operations as per IAS 7 'Statement of Cash Flows'.

Bangladesh Bank:

Balance with Bangladesh Bank is treated as cash and cash equivalents.

This is a presentation issue and there is no financial impact

2.02.09 Off balance sheet items**IFRS:**

As per IFRS, there is no mandatory requirement for disclosure of off-balance sheet items on the face of the balance sheet.

Bangladesh Bank:

As per the requirements of DFIM circular no. 11 dated 23 December 2009, off balance sheet items e.g. Letter of Credit, Letter of Guarantee, Acceptance must be disclosed separately on the face of balance sheet.

This is a presentation issue and there is no financial impact

2.02.10 Disclosure of appropriation of profit**IFRS:**

There is no mandatory requirement to show appropriation of profit in the face of the profit and loss account.

Bangladesh Bank:

As per the requirements of DFIM circular no. 11 dated 23 December 2009, an appropriation of profit should be disclosed on the face of profit and loss account.

There is no financial impact for this departure during the year.

2.02.11 Other comprehensive income**IFRS:**

As per IAS 1 'Presentation of Financial Statements', other comprehensive income is a component of financial statements or the elements of other comprehensive income are to be included in a single Comprehensive Income (CI) Statement.

Bangladesh Bank:

Bangladesh Bank has issued templates for financial statements which will strictly be followed by all financial institutions. The templates of financial statements issued by Bangladesh Bank do not include other comprehensive income; and the elements of other comprehensive income are also not allowed to be included in a single Other Comprehensive Income (OCI) Statement. As such the company does not prepare the other statement of comprehensive income. However elements of OCI, if any, are shown in the Statement of Changes in Equity.

There is no financial impact for this departure during the year.

2.02.12 Loans and advances net of provision**IFRS:**

As per IFRS 9, Loans and advances should be presented as net of provision.

Bangladesh Bank:

As per the requirements of DFIM circular no. 11 dated 23 December 2009, provision on loans and advances are presented separately as liability and cannot be netted off against loans and advances.

There is no financial impact for this departure during the year.

2.02.13 Recognition of interest in suspense**IFRS:**

Loans and advances to customers are generally classified at amortised cost as per IFRS 9 and interest income is recognised in profit and loss account by using the effective interest rate method to the gross carrying amount over the term of the loan. Once a loan subsequently become credit-impaired, the entity shall apply the effective interest rate to the amortised cost of these loans and advances.

Bangladesh Bank:

As per FID circular no. 8 dated 3 August 2002, once a loan is classified as impaired, interest on such loans are not allowed to be recognised as income, rather the corresponding amount needs to be credited to an interest in suspense account, which is presented as liability in the balance sheet.

Charging of interest on impaired assets is not fully aligned with IAS/IFRS.



2.03 Components of the financial statements

The financial statements comprise of (As per DFIM circular No. 11, Dated 23 December 2009):

- a) Balance Sheet as at 31 December 2022;
- b) Profit and Loss Account for the year ended 31 December 2022;
- c) Statement of Cash Flows for the year ended 31 December 2022;
- d) Statement of Changes in Equity for the year ended 31 December 2022;
- e) Liquidity Statement as at 31 December 2022 and
- f) Notes to the Financial Statements for the year ended 31 December 2022.

2.04 Use of estimates & judgments

The preparation of the financial statements of the company in conformity with Bangladesh Bank Circulars and IFRSs requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amount of assets, liabilities, income and expenses. Actual result may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future period affected.

Information about significant areas of estimation, uncertainty and critical judgments in applying accounting policies that have most significant effect for the year ended 31 December 2022 is included in the following notes:

- a) Note 9.2 Deferred tax assets;
- b) Note 13.1 Provision for Income tax;
- c) Note 13.3 Employee benefit liabilities (provision for gratuity);
- d) Note 13.4 Provision for lease, loans, advances, investment, and others;
- e) Note 18.1 Letter of guarantee (contingent liabilities);
- f) Note 32 Depreciation and repairs of company's assets.

2.05 Going Concern

The Company has adequate resources to continue its operation for the foreseeable future. For this reason, the directors continue to adopt a going concern basis in preparing the financial statements. The Company's current credit facilities and resources provide sufficient funds to meet the current requirements of its existing businesses and operations.

The outbreak of COVID-19 across the world has resulted in disruptions in business activities everywhere. COVID-19 poses existential threats to a business's ability to survive, which in turn have significant financial reporting impacts from going concerned and liquidity to recoverability and valuation of assets.

However, the COVID-19 virus can evolve in various directions. If society, and as a consequence business, is exposed to COVID-19 for a longer period, this may result in prolonged negative results and pressure on our liquidity and profitability. However, the Company has taken and will take various measures to keep the Company's going concern status.

Response to address the COVID-19 effects:

- a) This includes ensuring adequate safety and health measures for the employees like social distancing and working from home to ensure the safety of the employees;
- b) Prudent balance sheet and cash management to ensure enough liquidity to manage all obligations;
- c) Introducing and implementing contingency plans for liquidity and putting into controls for regular monitoring;
- d) Effective cost control measures are already in place to combat the unprecedented situation;

Furthermore, the management continuously monitors the Company's key ratios and is confident enough to undertake all crisis management and business continuity measures. The Company's management has performed an extensive analysis on the possible impact and has responded through adequate measures mitigating possible impacts. By conducting a stringent review and assessing the levels of facilities expected to be available to the Company, the management strongly believes that the BIFFL has adequate resources for at least 12 months from the date of authorized for issue of the financial statements.

So, based on the facts and circumstances known at this moment, the management believes there is no material uncertainty that may cast any doubt upon the Company's ability to continue as a going concern.



2.06 Materiality and aggregation

Each material item considered by management has been presented separately in the financial statements. No amount has been set off unless the Company has a legal right to set off the amounts and intends to settle on net basis. Income and expenses are presented on a net basis only when permitted by the relevant accounting standards.

2.07 Consistency

In accordance with the IFRS framework for the presentation of Financial Statements together with IAS 1 'Presentation of Financial Statements' and IAS 8 'Accounting Policies, Changes in Accounting Estimates and Errors', BIFFL applies the accounting disclosures and principles consistently from one period to the next. Where selecting and applying new accounting policies, changes in accounting policies applied, correction of errors, the amounts involved are accounted for and disclosed in accordance with the requirement of IAS 8.

2.08 Reporting period

The financial period of the Company was determined from 1 January to 31 December and followed consistently. These financial statements cover one year starting from 1 January 2022 to 31 December 2022.

2.09 Functional and presentation currency

The figures of the Financial Statements are presented in Bangladesh Taka (BDT/Taka/Tk.) which is Company's functional currency. All financial information presented in Taka has been rounded off to the nearest integer except otherwise indicated.

2.10 Assets and basis of their valuation

2.10.01 Cash and cash equivalents

Cash and cash equivalents comprises cash in hand, balance with Bangladesh Bank, cash at bank, term deposits, money at call and short notice that are readily convertible to a known amount of cash and that are subject to an insignificant risk of change in value. Cash and cash equivalents are shown as per DFIM circular no. 11 dated 23 December 2009.

2.10.02 Investment in securities

Investment in non-marketable shares have been shown at cost. The Company has no investment in marketable securities.

Provision for investment

BIFFL maintains provision on the outstanding balance of investment following the classification as reported in FICL submitted to Bangladesh Bank on quarterly basis.

2.10.03 Loans, advances and provisions

Loans and advances are stated at gross amount. General provisions on unclassified loans, specific provisions for classified loans and interest suspense account thereon are shown under other liabilities. Provision is made on the basis of quarter end against classified loans and advances reviewed by the management and instructions given in FID circular no. 08 dated 3 August 2002 and FID circular no. 03 dated 03 May 2006.

Interest on loans and advances

Interest is calculated on a daily product basis and is recognized as revenue on accrual basis. However, interest income under category of classified and Special Mention Account (SMA) account is not recognised as income but credited to interest suspense account as per Bangladesh Bank circulars and directives. In addition to above interest due on standard loans are also transferred to suspense accounts on judgmental basis. No interest is charged on bad and loss loans as per guidelines of Bangladesh Bank.

Provision for loans and advances

Provision for loans, advances and investments is an estimate of the losses that may be sustained in the investment portfolio. The methodology for measuring the appropriate level of the provision relies on several key elements, which include both quantitative and qualitative factors as set forth in the Bangladesh Bank guidelines. Provision for loans and advances are made on quarter basis as per the instructions given in FID circular no. 08 dated 03 August 2002, FID circular no. 03 dated 03 May 2006, FID circular no. 03 dated 29 April 2013, DFIM circular no. 04 dated 26 July 2021 and DFIM Circular no. 33 dated 19 December 2021 of Bangladesh Bank.



Rate of provision

General Provision on unclassified loans and advances and specific provision on classified loans & advances are made as per below rate:

Particulars	Rate
Standard-other than SME	1%
Standard-SME	0.25%
Special mention account (SMA)	5%
Sub-standard (SS)	20%
Doubtful (DF)	50%
Bad/loss (BL)	100%

Presentation of loans and advances

Loans and advances are shown at gross amount as assets while interest suspense and loan loss provision against classified loans and advances are shown as liabilities in the Balance Sheet.

Write off loans and advances

Loans and advances/investments are written off as per guidelines of Bangladesh Bank. Those written off however will not undermine/affect the claim amount against the borrower. Detailed memorandum records for all such written off accounts are meticulously maintained and followed up.

2.10.04 Property, plant and equipment

Property, plant and equipment are stated at cost less accumulated depreciation. The cost of an asset comprises its purchase price and any directly attributable costs associated with bringing the assets to its working condition for its intended use as per IAS 16 'Property, Plant and Equipment'.

Subsequent expenditure on property, plant and equipment

Subsequent expenditure is capitalized only when it increases the future economic benefits from the assets. All other expenditures are recognized as an expense as and when they are incurred.

Depreciation on property, plant & equipment

Depreciation on fixed assets is charged consistently on straight-line method at following rates throughout the estimated useful life of the assets. Depreciation method, useful lives and residual values are reviewed at each reporting date. The depreciation on newly acquired assets is charged from the date of acquisition.

Category of Fixed assets	Rate of Depreciation
Land & land development	0%
Computer & IT equipment	33%
Office equipment	20%
Furniture & fixtures	10%
Motor vehicles	20%
Building*	2.5%
Electronics	12.5%
Civil construction	50%
Websites & software	50%

The gain or loss arising on the disposal or retirement of an asset is determined as the difference between the sale proceeds and the carrying amount of the concerned asset and is recognised accordingly in the Profit or Loss Account.

*Up to 2020, the Company has considered depreciation @10% per year on Building (Floor Space). As expectations differ from previous estimates regarding the useful life of the Building (Floor Space), the Company has taken an opinion from an external expert regarding changing the estimate relating to depreciation. The external expert suggested considering the useful life of the Building between 40 to 50 years. Accordingly, the Board of Directors approved the useful life of the Building as 45 years (from 2016).

Impairment

The carrying amount of the entity's non financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, the asset's recoverable amount is estimated. However, no such conditions that might be suggestive of a heightened risk of impairment existed at the reporting date.



2.10.05 Intangible assets

An intangible asset is recognised if it is probable that future economic benefits that are attributable to the asset will flow to the Company over a period of time and the cost of the asset can be measured reliably as per IAS 38 'Intangible Assets'. Intangible assets acquired separately are recorded on initial recognition at costs and are carried at cost less accumulated amortisation and accumulated impairment losses, if any.

Subsequent expenditure on intangible assets

Subsequent expenditure on intangible asset is capitalised only when it increases the future economic benefit from the assets. All other expenditures are recognised as expense as and when they are incurred.

Amortisation of intangible assets

Intangible assets are amortized on straight line basis to the profit and loss account from the date when the asset is available for use over its estimated useful life as follows:

<u>Items of intangible Assets</u>	<u>Estimate useful life</u>
Computer software	2 years

2.10.06 Other assets

Other assets include all other financial assets and fees and unrealised income receivable, advance for operating and capital expenditure and stocks of stationery and stamps. Details are shown in Note-9. Receivables are recognised when there is a contractual right to receive cash or another financial assets from another entity.

2.10.07 Non-banking assets

Non-banking assets are acquired on account of the failure of a borrower to repay the loan in time after receiving the decree from the court regarding the right and title of the mortgage property. There are no assets acquired in exchange for loan during the period of financial statements.

2.11 Basis for valuation of liabilities and provisions

2.11.01 Provision for tax

a. Current tax

Provision for current tax has been made on the basis of the profit of the year as adjusted for taxation purpose in accordance with the provisions of Income Tax Ordinance, 1984 and amendments made thereto from time to time. The Company's current tax liability is calculated using applicable tax rate on the reporting date, and any adjustments to tax payable in respect of previous years.

b. Deferred tax

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for:

- Temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss;
- Temporary differences related to investments in subsidiaries to the extent that it is probable that they will not reverse in the foreseeable future; and
- Taxable temporary differences arising on the initial recognition of goodwill.

Deferred tax assets are recognised for unused tax losses, unused tax credits and deductible temporary differences to the extent that it is probable that future taxable profits will be available against which they can be used. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

Unrecognised deferred tax assets are reassessed at each reporting date and recognised to the extent that it has become probable that future taxable profits will be available against which they can be used.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, using tax rates enacted or substantively enacted at the reporting date. The measurement of deferred tax reflects the tax consequences that would follow the manner in which the Company expects, at the reporting date, to recover or settle the carrying amount of its assets and liabilities. For this purpose, the carrying amount of investment property measured at fair value is presumed to be recovered through sale, and the Company has not rebutted this presumption.



2.11.02 Employees' benefit obligation

Defined contribution plan

The Company operates a contributory provident fund scheme for its permanent employees. Provident Fund is administered by a Board of Trustees and is funded by contributions equally from the permanent employees and from the Company @10% of basic salary of the employees. The contributions are invested to ensure optimum return to the employees.

Defined benefit plan

The Company operates a funded gratuity scheme for its permanent employees.

Short term benefit

Short-term employee benefit (salary, bonus etc.) obligations are measured on an undiscounted basis and are expensed as the related service is provided.

Other employee benefit obligation

The Company operates a group life insurance and hospitalisation insurance schemes for its permanent employees.

Workers profit participation and welfare fund (WPPF)

Establishment of Workers' Profit Participation and Welfare Fund (WPPF) is a matter of Banking and Financial Institutions Sector as a whole. Ministry of Finance through its letters no. 53.00.0000.311.22.002.17-130 dated February 14, 2017 and no. 53.00.0000.311.22.002.17-140 dated February 25, 2018 expressed its opinion that Chapter 15 on "Participation in Company Profits by Workers" in the Bangladesh Labor Act 2006 and amendments made therein on July 22, 2013 should not be applicable for Banks and Financial Institutions and requested to the Ministry of Labor and Employment to take necessary steps in this regard as well as not to apply the said chapter of Labor Act 2006 for Banks and Financial Institutions. Therefore, like other Banks and Financial Institutions, BIFFL did not recognize the WPPF.

2.11.03 Accrued expenses, provisions and payables

Liabilities are recognised for goods and services received, whether paid or not, for those goods and services. Payables are not interest bearing and are stated at their actual value.

Provisions and accrued expenses are recognised in the financial statements when the Company has a legal or constructive obligation as a result of past event and it is probable that an outflow of economic benefit will be probable to settle the obligation and a reliable estimate can be made of the amount of the obligation.

2.12 Capital and shareholders' equity

2.12.01 Capital management

The Company has a capital management process for measuring, deploying and monitoring its available capital and assessing its adequacy. This capital management process aims to achieve four major objectives; exceed regulatory thresholds and meet long-term internal capital targets, maintain strong credit rating, manage capital levels commensurate with the risk profile of the Company and provide the Company's shareholders with acceptable returns.

Capital is managed in accordance with the board approved capital management planning from time to time. Senior management develops the capital strategy and oversees the capital management planning of the Company. The company's finance and risk management department are key to implementing the Company's capital strategy and managing capital. Capital is managed using both regulatory control measures and internal matrices.



2.12.02 Paid up capital

Paid up share capital represents total amount of shareholder capital that has been paid in full by the Government of Bangladesh i.e. ordinary shareholder. In the event of winding-up of the company ordinary shareholder(s) rank after all other shareholders and creditors are fully entitled to any residual proceeds of liquidation.

2.12.03 Statutory reserve

As per Financial Institution Regulations, 1994, Non-Bank Financial Institutions (NBFIs) are required to transfer 20% of its post tax profit to statutory reserve before declaration of dividend. This requirement has been properly complied with.

2.12.04 Dividends payment

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the Company's shareholders.

2.13 Earnings per share

The Company presents basic and diluted EPS data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss that is attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss that is attributable to ordinary shareholders and the weighted-average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares, if any.

2.14 Contingent assets & liabilities

Any possible obligation that arises from past events and the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company; or Any present obligation that arises from past events but is not recognised because:

a) it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or

b) the amount of the obligation cannot be measured with sufficient reliability.

Contingent liabilities are not recognised but disclosed in the financial statements unless the possibility of an outflow of resources embodying economic benefits can reliably be estimated.

Contingent assets are not recognised in the financial statements as this may result in the recognition of income which may never be realised.

2.15 Director's responsibility statement

The Board of Directors is responsible for the presentation of the financial statements under section 183 of the Companies Act, 1994 and as per the provision of 'The Framework for the Preparation and Presentation of Financial Statements'.

2.16 Related party disclosure

As per IAS 24 Related Party Disclosures, parties are considered to be related if one of the parties has the ability to control the other party or exercise significant influence over the other party in making financial and operating decisions. The Company carried out transactions in the ordinary course of business on an arm's length basis at commercial rates with related parties.

2.17 Litigation

The Company is not a party to any material law suits except those arising in the normal course of business. The Company has filed necessary law suits against some of the default clients for non-performance in repayment of investment. The Company, however, has made adequate provision against such doubtful finances.

2.18 Borrowings from other banks, financial institutions and agents

Borrowings include short term and long term borrowings from banks and non-bank financial institutions. These are stated at amounts outstanding on the reporting date. Interest expense on these borrowings is charged to the profit and loss account on accrual basis.



2.19 Liquidity statement

The liquidity statement has been prepared in accordance with remaining maturity grouping of assets and liabilities as of the close of the reporting period as per following bases:

- Balance with other Company's and financial institutions are on the basis of their maturity term;
- Investments are on the basis of their residual maturity term;
- Loans and advances are on the basis of their repayment /maturity schedule;
- Property, plant and equipment are on the basis of their useful lives;
- Other assets are on the basis of their adjustments terms;
- Borrowings from other Companies and financial institutions are on the basis of their maturity/repayment
- Deposits and other accounts are on the basis of their maturity terms and past behavioral trends;
- Other liabilities are on the basis of their settlement terms.

2.20 Events after the reporting period

Events after the reporting period that provide additional information about the Company's position at the statement of financial position date are reflected in the financial statements in Note no. 47 as per IAS 10 'Events after the reporting period'.

2.21 Comparatives and reclassification

Comparative information have been disclosed in respect of 2021 for all numerical information in the financial statements and also the narrative and descriptive information when it is relevant for understanding of the current period's financial statements.

To facilitate comparison, certain relevant balances pertaining to the comparatives have been rearranged /restated /reclassified whenever considered necessary to conform to current period's presentation.

2.22 Compliance Report on International Accounting Standards (IASs) and International Financial

Sl. No.	IFRS/IAS No.	Name of the IFRS/IAS	Status
1	IFRS-1	First Time adoption of IFRS	Not Applicable
2	IFRS-2	Share based payment	Not Applicable
3	IFRS-3	Business combinations	Not Applicable
4	IFRS-4	Insurance contracts	Not Applicable
5	IFRS-5	Non-current assets held for sales and discontinued operations	Not Applied**
6	IFRS-6	Exploration for and evaluation of mineral resources	Not Applicable
7	IFRS-7	Financial instruments disclosures	Applied*
8	IFRS-8	Operating segments	Not Applicable
9	IFRS-9	Financial instruments	Applied*
10	IFRS-10	Consolidated financial statements	Not Applicable
11	IFRS-11	Joint arrangements	Not Applicable
12	IFRS-12	Disclosure of interest in other entities	Not Applicable
13	IFRS-13	Fair value measurement	Applied
14	IFRS-14	Regulatory Deferral Accounts	Not Applicable
15	IFRS-15	Revenue from contracts with customers	Applied*
16	IFRS-16	Leases	Not Applicable
17	IFRS-17	Insurance Contracts	Not applicable
18	IAS-1	Presentation of financial statements	Applied*
19	IAS-2	Inventories	Not Applicable
20	IAS-7	Cash flow statements	Applied*
21	IAS-8	Accounting policies, changes in accounting estimates and errors	Not Applied**
22	IAS-10	Events after the reporting period	Applied
23	IAS-12	Income taxes	Applied
24	IAS-16	Property, plant and equipment	Applied
25	IAS-19	Employee benefits	Applied
26	IAS-20	Accounting for government grants and disclosure of government assistance	Not Applicable**
27	IAS-21	The effects of changes in foreign exchange rates	Not Applicable**



Sl. No.	IFRS/ IAS No.	Name of the IFRS/IAS	Status
28	IAS-23	Borrowing costs	Not Applicable**
29	IAS-24	Related party disclosures	Applied
30	IAS-26	Accounting and reporting by retirement benefit plans	Not Applicable
31	IAS-27	Consolidated and separate financial statements	Not Applicable
32	IAS-28	Investments in associates	Not Applicable
33	IAS-31	Interest in joint ventures	Not Applicable
34	IAS-32	Financial instruments: presentation	Applied*
35	IAS-33	Earnings per share	Applied
36	IAS-34	Interim financial reporting	Applied
37	IAS-36	Impairment of assets	Applied*
38	IAS-37	Provision, contingent liabilities and contingent assets	Applied*
39	IAS-38	Intangible assets	Applied
40	IAS-40	Investment property	Not Applicable
41	IAS-41	Agriculture	Not Applicable

*As the regulatory requirements differ with the standards, relevant disclosures have been made in accordance with Bangladesh Bank's requirements.

** Applicable but not applied in the reporting period as no relevant transactions were available.

2.23 Capital adequacy and market discipline

To cope with the international best practices and to make up the capital more risk sensitive as well as more shock resilient, a road map was issued in August 2010 on implementation of Basel Accord in the FIs. Being well pursuant with the road map, prudential guidelines namely 'Capital Adequacy and Market Discipline for Financial Institutions' had been introduced by Bangladesh Bank from December 2011. The guidelines came into force from 1 January 2012 with necessary supplements/revisions. Instructions in respect of Minimum Capital Requirement, Adequate Capital and Disclosures requirement as stated in the guidelines have been followed for the purpose of statutory compliance.

As per prudential guideline, BIFFL calculated Minimum Capital Requirement (MCR) by dividing the total capital by the sum of risk weighted assets against credit risk, market risk, and operational risk under pillar-I.

Pillar- 1: Minimum capital requirement

Credit Risk

The calculation of capital requirement against credit risk is more elaborate and risk sensitive. The accord gives a choice of some sophisticated approaches to address risks, and adoption of a particular approach depends on the risk measurement capabilities and robustness of the systems in place in a financial institution. A standardized approach has been the preliminary choice of FIs for the credit risk calculation.

Market risk

Market risk is defined as the risk of losses in on and off-balance-sheet positions arising from movements in market prices. The risks subject to this requirement are:

- the risks pertaining to interest rate related instruments and equities in the trading book;
- foreign exchange risk and commodities risk throughout the FI.

The capital charges for interest rate related instruments and equities applied to the current trading book items prudently valued by BIFFL. The capital charges for foreign exchange risk and for commodities risk applied to BIFFL's total currency and commodity positions, subject to some discretion to exclude structural foreign exchange positions.

Operational risk

The accord introduces for the first time a capital charge for operational risk. The framework presents three methods for calculating operational risk capital charges in a continuum of increasing complexity and risk sensitivity. These methods are the Basic Indicator Approach (a fixed percentage of gross income amount), Standardized Approach (sum of a certain percentage of FI's income in each business line) and Internal Measurement Approach (statistical measure of FIs operational loss based on its historical loss data). But initially, Basic Indicator Approach has been applied for calculating the capital charge against operational risk.



2.24 Stress testing

Stress Testing is an important risk management tool that is used by the financial institutions as part of internal risk management and through the Basel II capital adequacy framework, is promoted by Bangladesh Bank. Stress Testing alerts Financial Institutions management to adverse unexpected outcomes related to a variety of risks and provides an indication of how much capital might be needed to absorb losses should large shock occur. Stress Testing supplements other risk management approaches and measures playing particularly important role in:

- i. Providing forward-looking assessment of risk;
- ii. Overcoming limitations of models and historical data;
- iii. Supporting external and internal communication;
- iv. Feeding into capital and liquidity planning procedures;
- v. Informing the setting of an FI's risk tolerance; and
- vi. Facilitating the development of risk mitigation or contingency plans across a range of stressed conditions.

Stress Testing guidelines have been issued by Bangladesh Bank to provide a structured way of assessing the vulnerability of financial institutions to extreme but plausible market conditions. The guidelines enable institutions to accurately assess risk and define the "risk appetite" of the organization and also provide critical information to senior management for decision around capital allocation and contingency planning.

BIFFL exercise stress testing on its portfolio on quarterly basis and submit its stress testing report as per format prescribed by Bangladesh Bank on regular basis.

2.25 IT systems and control

Information Technology forms an integral part of the NBFI's Corporate Governance. It deals primarily with optimizing the linkage between Strategic Direction and Information Systems Management of the Company. In this regard, implementation of the organizational structure with well-defined roles for the responsibility of information, business processes, applications, infrastructure, etc. generates value for our stakeholders while mitigating the risks associated with incorrect deployment and use of Information Technology. IT and MIS d is department constantly working towards the development and implementation of new technologies to enable the organization to meet future market demand.

2.26 Prevention of money laundering

In recognition of the fact that financial institutions are particularly vulnerable to money laundering, BIFFL has established an Anti Money Laundering Policy. The purpose of this policy is to provide a guideline to comply with all laws and regulations regarding money laundering, both at country and international levels, to safeguard the Company from potential compliance, financial and reputational risks. Further, Know Your Customer (KYC) procedures have been set up for the borrowers. Training is also given as a continuous process for creating/developing awareness among the relevant officers. As per the regulatory obligation, the Chief Executive Officer (CEO) of the Company clearly and effectively declares BIFFL's stance to prohibit anti money laundering and financing for terrorism each year. The declaration of CEO also includes necessary operational guidelines to implement the same.

2.27 Legal & regulatory compliance

The Company's procedures are in place to ensure compliance with mandatory Bangladesh Bank's instructions and the statutory requirements are under close scrutiny. The Company monitors due compliance with all relevant laws & regulations. The system of internal controls, including financial, operational and compliance controls and risk management systems, are maintained by the Company's management and that was in place throughout the financial year and up to and as of the date of this report, is adequate to meet the needs of current business environment and to comply with the legal & regulatory requirements.



3 Cash

Cash in hand (Note- 3.1)
Balance with Bangladesh Bank and its agent bank(s) (Note- 3.2)

Amount in Taka	
31-Dec-22	31-Dec-21
65,355	94,713
1,043,908	15,198,767
1,109,263	15,293,480

3.1 Cash in hand

In local currency
In foreign currency

65,355	94,713
-	-
65,355	94,713

3.2 Balance with Bangladesh Bank and its agent bank(s)

Balance with Bangladesh Bank
In foreign currency

1,043,908	15,198,767
-	-
1,043,908	15,198,767

3.3 Balance with Bangladesh Bank

Balance with Bangladesh Bank is non-interest bearing and maintained to meet the Cash Reserve Requirement (CRR). CRR (note- 3.4) and Statutory Liquidity Reserve (note- 3.5) which have been calculated and maintained in accordance with The Financial Institution Regulations 1994 and FID circular no. 06 dated 6 November 2003 and FID circular no. 02 dated 10 November 2004.

3.4 Cash Reserve Requirement (CRR)

CRR is calculated at the rate of 1.5% on total term deposits which is preserved in current account maintained with Bangladesh Bank in compliance with FID circular no. 6 dated 6 November 2003, FID circular no. 02 dated 10 November 2004 and DFIM circular no. 03 dated 21 June 2020. Total term deposits mean term or fixed deposits, security deposit against lease/loan and other term deposits received from individuals and institutions (except banks and financial institutions).

Required reserve
Actual reserve held (Balance with BB)
Surplus/(Deficit)

-	-
1,043,908	15,198,767
1,043,908	15,198,767

3.5 Statutory Liquidity Reserve (SLR)

SLR has been calculated at the rate of 2.5% of total liabilities less borrowing from other banks & FIs and Bangladesh Bank. SLR is maintained in liquid assets in the form of cash in hand, balance with Bangladesh Bank, balance with other banks & financial institutions, investment at call, unencumbered treasury bills, prize bond, savings certificates & any other assets approved by Bangladesh Bank.

Required reserve
Actual reserve held
Surplus/(Deficit)

543,181,366	408,889,783
18,013,332,796	18,851,864,183
17,470,151,430	18,442,974,400

4 Balance with other banks and financial institutions

Inside Bangladesh

Current accounts (Note- 4.1)
Short noticed deposit accounts (Note- 4.2)
Fixed deposit accounts (Note- 4.3)

2,889	4,901
11,768,591,600	12,606,935,978
6,243,629,045	6,229,629,824
18,012,223,533	18,836,570,703
-	-
18,012,223,533	18,836,570,703

Outside Bangladesh

The company does not maintain any account outside Bangladesh.

4.1 Current account

Dutch Banqla Bank Ltd.
Uttara Bank Ltd.

2,815	3,735
74	1,166
2,889	4,901



4.2 Short noticed deposit account

United Commercial Bank Ltd.
Shahjalal Islami Bank Ltd.
Sonali Bank Ltd.
Aqrani Bank Ltd.

Amount in Taka	
31-Dec-22	31-Dec-21
11,088	2,104
-	-
1,595,452,831	920,926
10,173,127,681	12,606,012,948
11,768,591,600	12,606,935,978

4.3 Fixed deposit accounts

Banqladesh Industrial Finance Company (BIFC) Ltd.
Fareast Finance and Investment Ltd.
Padma Bank Ltd.
FAS Finance and Investment Ltd.
First Finance Ltd.
ICB Islamic Bank Ltd.
International Leasing and Financial Services Ltd.
Meridian Finance and Investment Ltd.
Peoples Leasing and Financial Services Ltd.
Premier Leasing and Finance Ltd.
Prime Finance and Investment Ltd.
Aviva Finance Ltd. (Reliance Finance Ltd.)
Union Capital Ltd.

723,667,066	680,574,517
405,619,047	386,170,121
935,000,000	1,020,000,000
740,137,477	698,864,573
217,893,532	217,000,000
262,650,073	302,780,072
958,456,499	917,832,456
310,000,000	325,000,000
607,090,552	607,090,552
323,960,923	318,663,149
239,100,000	248,000,000
57,000,000	70,000,000
463,053,876	437,654,385
6,243,629,045	6,229,629,824

4.4 Maturity grouping of balance with banks and other financial institutions

On demand
Up to 1 month
Over 1 month but not more than 3 months
Over 3 months but not more than 1 year
Over 1 year but not more than 5 years
Over 5 years

2,889	4,901
12,321,561,486	12,991,935,978
1,793,634,735	1,580,780,073
867,672,926	973,317,534
3,029,351,497	3,290,532,217
-	-
18,012,223,533	18,836,570,703

4.4.1 The balances held with banks and financial institutions are categorized based on their remaining maturity dates. Nonetheless, some financial institutions are currently experiencing a liquidity crisis, making it difficult for them to pay both the principal and interest amounts on the maturity date. Consequently, the balances held with these institutions are classified in a different maturity group based on the judgement made in the liquidity statement, rather than their actual maturity date.

5 Money at call and short notice

FAS Finance & Investment Ltd.

26,900,000	26,900,000
26,900,000	26,900,000

6 Investments

Investment classified as per nature:
Government Securities (Note- 6.1)
Other investments (Note- 6.2)

4,848,408,000	-
1,696,000,000	2,591,151,513
6,544,408,000	2,591,151,513

6.1 Government Securities

Treasury bills (Note- 6.1.1)
National investment bonds
Banqladesh Bank bills
Government notes/bonds
Others

4,848,408,000	-
-	-
-	-
-	-
-	-
4,848,408,000	-



6.1.1 Investment in Govt. Treasury Bill

Investment in Govt. Treasury bills (91 days)
Investment in Govt. Treasury bills (182 days)

Amount in Taka	
31-Dec-22	31-Dec-21
982,366,000	-
3,866,042,000	-
4,848,408,000	-

6.2 Other investments

Investment in preference share (Note- 6.2.1)
Investment in commercial paper (Note- 6.2.2)
Investment in bond (Note- 6.2.3)

696,000,000	1,341,151,513
-	250,000,000
1,000,000,000	1,000,000,000
1,696,000,000	2,591,151,513

6.2.1 Investment in preference Share

Rajlanka Power Company Ltd.
Doreen Power House & Technologies Ltd.
Ace Alliance Power Ltd.
Kushiara Power Company Ltd.
Bhairab Power Ltd.
Summit Gazipur II Power Ltd.

-	48,484,847
240,000,000	320,000,000
-	233,333,333
456,000,000	456,000,000
-	200,000,000
-	83,333,333
696,000,000	1,341,151,513

6.2.2 Investment in commercial paper

Computer Source Ltd.

-	250,000,000
-	250,000,000

Investment in commercial paper issued by Computer Source Ltd. was written off on 8 Sep 2022 as per the decision of the 106th meeting of the Board of Directors.

6.2.3 Investment in bond

Ashuqanj Power Station Company Ltd.

1,000,000,000	1,000,000,000
1,000,000,000	1,000,000,000

6.2.4 Residual maturity grouping of investments

Up to 1 month
Over 1 month but not more than 3 months
Over 3 months but not more than 1 year
Over 1 year but not more than 5 years
Over 5 years

-	-
1,107,366,000	47,989,041
4,128,042,000	558,056,880
1,138,000,000	1,650,000,000
171,000,000	335,105,593
6,544,408,000	2,591,151,513

7 Leases, loans and advances
a) Inside Bangladesh

Leases (Note- 7.1)
Loans
Cash credits
Overdrafts
Sub-total

-	-
18,856,953,828	16,394,424,310
-	-
-	-
18,856,953,828	16,394,424,310

b) Outside Bangladesh
Total loans and advances

-	-
18,856,953,828	16,394,424,310

Total loans and advances

18,856,953,828	16,394,424,310
-	-

7.1 Leases
7.2 Sector wise leases, loans and advances

Public sector
Co-operative sector
Private sector

2,075,976,889	3,024,161,916
-	-
16,780,976,939	13,370,262,394
18,856,953,828	16,394,424,310





7.3 Residual maturity grouping of leases, loans and advances

31-Dec-22	31-Dec-21
Amount in Taka	

On demand
Up to 1 month
Over 1 month but not more than 3 months
Over 3 months but not more than 1 year
Over 1 year but not more than 5 years
Over 5 years

7.4 Leases, loans and advances on the basis of significant concentration

a. Leases, loans and advances to Directors and organizations related to Directors (fully secured)
b. Leases, loans and advances to Chief Executive Officer and other senior executives
c. Leases, loans and advances to customer groups
Large infrastructure projects
Sustainable and eco-friendly projects
SME- Women entrepreneurs

d. Leases, loans and advances on sector basis:

i) Textiles
ii) Garments and accessories
iii) Transport (including marine transport)
iv) Chemicals and pharmaceuticals
v) Iron, steel and engineering
vi) Agricultural equipment and agro industries
vii) Power and energy
viii) Electronics and electrical
ix) Information technology (IT)
x) Paper printing and packaging
xi) Plastic
xii) Real estate and housing
xiii) Food and beverage
xiv) Glass and ceramics
xv) Services
xvi) Others

7.5 Leases, loans and advances on geographical basis

Inside Bangladesh

Dhaka Division
Chittagong Division
Khulna Division
Rajshahi Division
Barisal Division
Sylhet Division
Rangpur Division
Mymensingh Division
Sub-total

Rural

Dhaka Division
Chittagong Division
Khulna Division
Rajshahi Division
Barisal Division
Sylhet Division
Rangpur Division
Mymensingh Division
Sub-total
Outside Bangladesh
Total

103,118,291	18,856,953,828
1,153,556,347	18,856,953,828
2,307,165,621	16,394,424,310
11,000,000,000	16,394,424,310
4,293,113,570	16,394,424,310

16,322,710	18,856,953,828
17,246,704	18,856,953,828
7,827,407,681	16,394,424,310
10,995,976,733	16,394,424,310
23,519,419	16,394,424,310

3,260,576	18,856,953,828
4,057,862,420	18,856,953,828
2,974,152,916	16,394,424,310
48,635,624	16,394,424,310
1,162,337,123	16,394,424,310
1,798,964	16,394,424,310
4,159,091,676	16,394,424,310
311,069,080	16,394,424,310
270,336,719	16,394,424,310
6,940,181	16,394,424,310
163,192	16,394,424,310
2,553,906,150	16,394,424,310
1,210,015,815	16,394,424,310
2,097,383,392	16,394,424,310

4,765,929,851	5,064,166,831
298,236,980	5,064,166,831
-	5,064,166,831
-	5,064,166,831
-	5,064,166,831
-	5,064,166,831
-	5,064,166,831
-	5,064,166,831
-	5,064,166,831
3,091,565,065	3,391,908,919
300,343,854	3,391,908,919

5,962,430,365	13,792,786,997
6,230,280,858	13,792,786,997
1,798,964	13,792,786,997
157,458,122	13,792,786,997
121,837,374	13,792,786,997
969,588,482	13,792,786,997
30,420,490	13,792,786,997
318,972,343	13,792,786,997
5,024,617,122	13,002,515,392
5,842,735,123	13,002,515,392
2,451,921	13,002,515,392
143,873,561	13,002,515,392
111,325,962	13,002,515,392
1,593,238,672	13,002,515,392
36,184,127	13,002,515,392
248,088,903	13,002,515,392



7.6 Classification of leases, loans and advances

Amount in Taka		
	31-Dec-22	31-Dec-21
Unclassified		
Standard (STD)	16,592,788,076	12,601,360,325
Special mention account (SMA)	299,010,966	1,334,328,708
Sub-total	16,891,799,042	13,935,689,034
Classified		
Sub-standard (SS)	125,649,084	1,696,942,954
Doubtful (DF)	3,535,901	595,323,463
Bad/Loss (BL)	1,835,969,801	166,468,860
Sub-total	1,965,154,786	2,458,735,277
Total	18,856,953,828	16,394,424,310

7.7 Particulars of loans, advances and leases

i) Loan considered good in respect of which the FI is fully secured	15,505,922,432	13,073,981,754
ii) Loan considered good for which the FI holds no other security than the debtor's personal security	501,167,004	526,479,434
iii) Loan considered good and secured by the personal security of one or more parties in addition to the personal security of the debtors	2,849,864,392	2,793,963,122
iv) Loan adversely classified; for which no provision is created	-	-
Total	18,856,953,828	16,394,424,310
v) Loan due by directors or officers of the FI or any of them either jointly or separately with any other persons	16,322,710	15,855,759
vi) Loan due by companies and firms in which the directors of the FI have interests as directors, partners or managing agent or in case of private companies as members	-	-
vii) Maximum total amount of advances, including temporary advances made at any time during the period to directors and managers or officers of the FI or any of them either severally or jointly with any other persons	-	-
viii) Maximum total amount of advances, including temporary advances granted during the period to the companies or firms in which the directors of the FI have interests as directors, partners or managing agents or, in case of private companies as members	-	-
ix) Due from other bank/FI companies	-	-
x) Information in respect of classified loans and advances:		
a) Classified loans for which interest/ profit not credited to income	1,965,154,786	2,458,735,277
b) Amount of provision kept against loans classified as bad/loss as at the balance sheet date	-	-
c) Amount of interest credited to the interest suspense account	1,042,364,613	748,301,939
xi) Cumulative amount of written off loans:		
Opening balance	-	-
Amount written off during the period	-	-
Amount received from written off during the period	-	-
Balance of written off loans and advances yet to be recovered	-	-
The amount of written off loans for which law suits have been filed.	-	-

7.8 Bills purchased and discounted

Payable inside Bangladesh	-	-
Payable outside Bangladesh	-	-

BIFFL has no bills purchased and discounted.

7.9 Disclosures on collection of audited financial statements as per FRC circular

With reference to DFIM Circular no:-08 dated 17 August 2021 and FRC letter Ref. no-178/FRC/APR/2021/28(4) dated 22 December 2021, Bangladesh Infrastructure Finance Fund Limited obtained audited financial statements for 88% of loans and advances disbursed/sanctioned to public interest entity on or after 01 January 2022 to 31 December 2022.



8 Fixed Assets

Fixed assets including premises, furniture and fixtures (Note- 8.1)
Capital work in progress (Note- 8.2)

8.1 Fixed assets including premises, furniture and fixtures

Cost

Opening balance
Addition during the period (Annexure-A)

Disposal/Adjustment during the period

Closing balance (A)

Accumulated Depreciation

Opening balance
Charged during the period

Adjustment for disposal during the period
Closing balance (B)

Written down value (A-B)

Details are in (Annexure -A)

8.2 Capital work in progress

Opening balance
Addition during the year
Closing balance

9 Other assets

Advance income tax (Note- 9.1)
Interest receivables on FDR
Interest receivables on STL
Security deposit
Advance to suppliers
Deferred tax assets (Note- 9.2)
Receivables against investment (Note- 9.3)

9.1 Advance income tax

Opening balance
Income tax deducted at sources
Paid during the period
Adjustment of AIT
Closing balance

9.1.1 Year to year breakdown of advance income tax payment

2014
2015
2016
2017
2018
2019
2020
2021
2022
Adjustment

Amount in Taka	
31-Dec-22	31-Dec-21

182,014,389	194,847,232
8,800,000	8,800,000
190,814,389	203,647,232

400,141,610	402,710,584
1,443,746	177,154
401,585,356	402,887,738
-	2,746,128
401,585,356	400,141,610
205,294,378	188,417,908
14,276,588	19,622,597
219,570,967	208,040,505
-	2,746,127
219,570,967	205,294,378
182,014,389	194,847,232

8,800,000	8,800,000
-	-
8,800,000	8,800,000

5,462,062,162	5,311,358,631
40,957,061	41,339,063
44,833	29,479
313,607	309,975
605,000	548,508
11,381,361	7,938,121
163,945,665	91,691,470
5,679,309,690	5,453,215,247

5,311,358,631	4,625,712,118
174,306,582	145,178,914
789,969,534	540,467,600
(813,572,585)	-
5,462,062,162	5,311,358,631

1,137,841,620	1,137,841,620
1,468,902,697	1,468,902,697
816,773,044	816,773,044
397,143,090	397,143,090
619,980,669	619,980,669
561,655,414	561,655,414
781,687,574	781,687,574
685,646,513	685,646,513
964,276,116	-
(1,971,844,575)	(1,158,271,990)
5,462,062,162	5,311,358,631



9.2 Deferred tax assets

9.2.1 Deferred tax assets for deductible temporary difference

Opening balance
Deferred tax income/(expense) during the period

Tax deductible temporary difference

Gratuity payable

Applicable tax rate

Closing deferred tax assets

Amount in Taka	
31-Dec-22	31-Dec-21
11,381,361	7,938,121

3,780,812	1,155,212
1,169,200	2,625,600
4,950,012	3,780,812
12,375,030	9,452,030
40%	40%
4,950,012	3,780,812

9.2.2 Deferred tax liabilities (assets) for taxable temporary difference

Opening balance
Deferred tax expense/(income) during the period

(4,157,309)	(6,045,714)
(2,274,040)	1,888,405
(6,431,349)	(4,157,309)

Taxable temporary difference

Carrying amount of fixed assets as per accounting base

Carrying amount of fixed assets as per tax base

Taxable temporary difference on fixed assets

Applicable tax rate

Closing deferred tax liabilities (Assets)

Deferred tax liabilities (assets) at the beginning of the period

Deferred tax expense/(income) during the period

182,014,389	194,847,232
198,092,762	205,240,505
(16,078,372)	(10,393,273)
40.00%	40.00%
(6,431,349)	(4,157,309)
(4,157,309)	(6,045,714)
(2,274,040)	1,888,405

9.3 Receivables against investment

Dividend receivable (Note- 9.3.1)
Interest receivable on commercial paper (Note- 9.3.2)
Interest receivable on coupon bond (Note- 9.3.3)
Interest receivable on investment in Govt. T-bill (Note-9.3.4)

100,494,804	34,167,885
-	33,887,233
29,152,702	23,636,353
34,298,159	-
163,945,665	91,691,470

9.3.1 Receivables on preference share

Rajjanka Power Company Ltd.
Doreen Power House & Technologies Ltd.
Ace Alliance Power Ltd.
Kushiara Power Company Ltd.
Bhairab Power Ltd.
Summit Gazipur II Power Ltd.

-	1,741,471
40,327,790	11,246,918
-	1,063,210
60,167,014	13,242,740
-	4,790,213
-	2,083,333
100,494,804	34,167,885

9.3.2 Receivables on commercial paper

Computer Source Ltd.

-	33,887,233
-	33,887,233

9.3.3 Receivables on bond

Ashuqanj Power Station Company Ltd.

29,152,702	23,636,353
29,152,702	23,636,353

9.3.4 Interest receivable on investment in Govt. T-bills

Interest on investment in Govt. T-bills (182 days)
Interest on investment in Govt. T-bills (91 days)

33,716,894.05	-
581,264.62	-
34,298,158.67	-





		Amount in Taka	
		31-Dec-22	31-Dec-21
10 Non banking assets		-	-
11 Borrowings from banks, other financial institutions and agents			
Inside Bangladesh (Note- 11.1)		536,259,888	634,040,160
Outside Bangladesh (Note- 11.2)		11,245,755,801	6,499,246,513
		11,782,015,689	7,133,286,673
11.1 Inside Bangladesh			
Advance from BB Refinance Scheme		536,259,888	634,040,160
		536,259,888	634,040,160
11.2 Outside Bangladesh			
Borrowing from EECPPF JICA Loan No. BD-P90, BDP109 and BDP115		7,402,335,321	5,897,934,590
Borrowing from IPFF II of World Bank		1,705,561,942	601,311,923
Borrowing from SBIFFLP ADB Loan No: BAN-3958		2,014,567,750	-
Borrowing From EEREWEF AFD Loan No. CBD103101S		123,290,787	-
		11,245,755,801	6,499,246,513
11.2.1 Borrowing from EECPPF JICA Loan No. BD-P90 & BDP109			
Principal borrowing		7,148,558,460	5,747,613,792
Interest due		253,776,862	150,320,798
		7,402,335,321	5,897,934,590
11.2.2 Borrowing from IPFF II of World Bank			
Principal borrowing		1,473,003,122	557,463,514
Unrealised loss on FC transaction		178,712,662	-
Interest due		53,846,158	43,848,409
		1,705,561,942	601,311,923
11.2.3 Borrowing from SBIFFLP ADB Loan No. BAN-3958			
Principal borrowing		1,985,100,000	-
Interest due		29,467,750	-
		2,014,567,750	-
11.2.3 Borrowing From EEREWEF AFD Loan No. CBD103101S			
Principal borrowing		122,609,623	-
Interest due		681,165	-
		123,290,787	-
12 Deposits and other accounts			
Current deposits and other accounts		-	-
Bills payable		-	-
Savings deposits		-	-
Term deposits		-	-
Bearer certificate of deposit		-	-
Other deposits		-	-
		-	-
13 Other liabilities			
Provision for income tax (Note- 13.1)		5,794,144,089	5,932,297,580
Account payables (Note- 13.2)		19,363,548	12,155,312
Provision for leases, loans, advances and others (Note- 13.5)		2,643,820,500	2,357,837,443
Deferred tax liabilities (Note- 13.3)		-	-
Employee benefit liabilities (Note- 13.4)		12,695,872	9,786,615
Audit fees payable		388,615	542,600
Security deposit payable		111,634	109,418
Interest suspense account (Note- 13.6)		1,995,735,930	1,532,517,776
Interest payable		15,238,660	11,098,048
		10,481,498,849	9,856,344,792



13.1 Provision for income tax*

Opening balance
Addition during this period
Less : Adjustment
Closing balance

Amount in Taka	
31-Dec-22	31-Dec-21
5,932,297,580	5,120,425,388
675,419,094	811,872,192
813,572,585	-
5,794,144,089	5,932,297,580

*BIFFL has disputed tax liabilities with Large Taxpayers Unit (LTU) of NBR for the assessment year of 2017-18 amounting BDT 3,67,39,156 as per the assessment made by BIFFL. However, BIFFL filed an appeal to commissioner of taxes (appeal) against this order for availing full credit of advance income tax deducted at source in 2021. Commissioner of Taxes (Appeal) instructed Deputy Commissioner of Taxes (DCT), LTU to give the full credit of advance income tax deducted at source after verifying the source documents. As required by DCT of LTU, BIFFL submitted all the required documents and yet to be received any final assessment order from DCT of LTU. Since, BIFFL has the strong ground for availing credit of advance income tax any provision has not been made for this disputed tax claim.

13.2 Account payables

Withholding and payroll tax
Withholding VAT
Bill payables
Provision for incentive bonus
Partial downpayment for reschedule of term loans
Salary payable
Excise duty payable

523,968	411,987
368,909	226,725
5,113,933	3,198,462
10,306,736	8,308,539
3,000,000	-
-	9,599
50,000	-
19,363,546	12,155,312

13.3 Employee benefit liabilities

Gratuity Fund (GF) payable

Opening Balance
Addition during the period
Amount transferred during the period
Closing Balance (A)

9,452,030	2,888,030
2,923,000	6,564,000
-	-
12,375,030	9,452,030

Contributory Provident Fund (CPF) payable

Opening Balance
Addition during the period
Amount transferred during the period
Closing Balance (B)
Total (A+B)

334,585	334,585
5,034,292	4,588,346
(5,048,034)	(4,588,346)
320,842	334,585
12,695,872	9,786,615

13.4 Provision for leases, loans, advances, investment, and others

General provision

Leases, loans and advances:

Opening balance
Addition during the period
Closing balance (i)

186,205,590	205,123,298
143,286,480	(18,917,708)
329,492,070	186,205,590

Investment:

Opening balance
Addition/(deduction) during the period
Closing balance (ii)

23,411,515	31,540,503
(6,451,515)	(8,128,988)
16,960,000	23,411,515

Off-balance sheet item:

Opening balance
Addition during the period
Closing balance (iii)

2,471,581	-
-	2,471,581
2,471,581	2,471,581

Closing balance of total general provision i+ii+iii (A)

348,923,651	212,088,686
--------------------	--------------------

Specific provision

Leases, loans and advances:

Opening balance
Addition during the period
Closing balance (i)

489,636,452	29,883,945
199,148,092	459,752,507
688,784,544	489,636,452

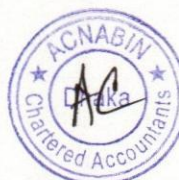
Investment:

Opening balance
Addition (adjustment due to write-off) during the period
Closing balance (ii)

250,000,000	250,000,000
(250,000,000)	-
-	250,000,000

Closing balance of total specific provision i+ii (B)

688,784,544	739,636,452
--------------------	--------------------



Covid-19 special provision for leases, loans and advances

Opening balance
Addition during the period

Closing balance (C)
Other provision
Fixed Deposit Receipts (FDRs)

Opening balance
Addition during the period

Closing balance (i)
Provision for other assets

Opening balance
Addition during the period

Closing balance (ii)
Closing balance of total other provision i+ii (D)
Closing balance of total provision maintained (A+B+C+D)

Amount in Taka	
31-Dec-22	31-Dec-21
218,367	-
-	218,367
218,367	218,367
1,405,533,938	1,154,938,717
200,000,000	250,595,221
1,605,533,938	1,405,533,938
360,000	360,000
-	-
360,000	360,000
1,605,893,938	1,405,893,938
2,643,820,500	2,357,837,443

BIFFL maintained FDR accounts with different Banks and NBFIs licensed by Bangladesh Bank. However, due to the current market liquidity position and post covid economic downturn, some NBFIs have been facing difficulties to pay back the due amount on maturity. Nonetheless, BIFFL is pursuing the recovery drive continuously and has recovered significant amount from different Banks and NBFIs, and strong persuasion to recover the total fund is still continued. As BIFFL is wholly owned by the GoB, there is minimum chance of not being able to recover against this investments. The Board of Directors of BIFFL is also monitoring this issue from their position to recover the whole FDR amount. Besides that to build resilience against the economy and market shock, BIFFL has been maintaining provision against these FDRs.

13.4.1 Provision for loans, advances and investments
General provision

Statutory requirement
Voluntary provision

Specific Provision

Statutory requirement
Voluntary provision

348,923,651	212,088,686
348,923,651	212,088,686
-	-
689,002,911	739,854,819
689,002,911	739,854,819
-	-
1,037,926,562	951,943,505

13.4.2 Other provision

Statutory requirement
Voluntary provision

575,298,717	575,298,717
1,030,595,221	830,595,221
1,605,893,938	1,405,893,938

13.4.3 Total provision

Statutory requirement
Voluntary provision

1,613,225,279	1,527,242,222
1,030,595,221	830,595,221
2,643,820,500	2,357,837,443

13.5 Interest suspense account
On leases, loans and advances:

Opening balance
Addition during the period
Transferred to interest income

Closing balance (i)
On Investment

Opening balance
Addition (adjustment due to writeoff) during the period
Transferred to interest income

Closing balance (ii)
On Fixed Deposit Receipts (FDRs)
Opening balance

Amount credited during the period
Amount debited during the period

Closing balance (iii)
Closing balance of interest suspense account (i+ii+iii)

748,301,939	690,340,593
507,543,896	752,755,917
(213,481,222)	(694,794,571)
1,042,364,613	748,301,939
33,887,233	33,887,233
(26,387,233)	-
(7,500,000)	-
-	33,887,233
750,328,604	553,535,983
381,072,510	405,121,847
(178,029,797)	(208,329,226)
953,371,318	750,328,604
1,995,735,930	1,532,517,776



Amount in Taka	
31-Dec-22	31-Dec-21

Due to post pandemic impact and global financial crisis, some projects whose installments were not due and remain standard in the reporting period were adversely affected, and project operation was recovering slowly. Considering the potential adverse impact of the financial crisis, out of the interest on loans and advances BDT 20,19,19,819 interest accrued on loans and advances with standard classification status set aside from the interest income and BDT 4,45,33,558 net of recovered amount kept in the interest suspense account. This amount will be eventually recognized as interest income depending on the recovery. Besides, BIFFL made the short-term investment (FDRs) to different banks and Financial Institutes (FIs) based on satisfactory performance and ratings. However, due to vulnerable conditions in the money markets and liquidity crises, some banks and FIs struggle to pay back the due amount on maturity dates. Therefore, considering the ongoing liquidity crisis and vulnerable conditions in the money market, interest accrued on FDRs has been transferred to the interest suspense account.

13.5.1 Interest suspense on FDR

Banqladesh Industrial Finance Company (BIFC) Ltd.
First Finance Ltd.
FAS Finance and Investment Ltd.
International Leasing and Financial Services Ltd.
Peoples Leasing and Financial Services Ltd.
Union Capital Limited
Fareast Finance and Investment Ltd.
Premier Leasing and Finance Ltd.
Interest Suspense A/C FDRs- Accrual
Total

184,186,127	134,715,145
17,117,198	15,919,031
192,290,275	143,260,485
250,795,552	202,794,824
32,151,835	32,151,835
114,554,433	89,221,607
66,351,641	42,724,028
54,967,196	48,202,586
40,957,061	41,339,064
953,371,318	750,328,604

14 Share capital

14.1 Authorized capital

1,000,000,000 ordinary shares of Tk.100 each

100,000,000,000	100,000,000,000
------------------------	------------------------

14.2 Issued, subscribed & paid up capital

23,08,00,000 ordinary shares of Tk.100 each

23,080,000,000	23,080,000,000
-----------------------	-----------------------

14.3 Capital adequacy and market discipline

As per Capital Adequacy and Market Discipline for Financial Institutions guideline of Bangladesh Bank, BIFFL calculated minimum capital requirement by dividing the total capital by the sum of risk weighted assets against credit risk, market risk, and operational risk under pillar-I. BIFFL maintain Capital Adequacy Ratio (CAR) of minimum 10%.

Tier-1 (Core capital)

Fully paid-up capital/ capital lien with BB
Statutory reserve
Non-repayable share premium account
General reserve
Retained earnings
Minority interest in subsidiaries
Non- cumulative irredeemable preference shares
Dividend equalization account
Others (any item approved by Bangladesh Bank)

23,080,000,000	23,080,000,000
2,042,157,462	1,889,879,355
-	-
200,000,000	150,000,000
1,726,046,703	1,411,691,666
-	-
-	-
-	-
-	-
27,048,204,165	26,531,571,021

Deductions from tier-1 (Core capital)

Book value of goodwill and value of any contingent assets which are shown as assets
Shortfall in provisions required against classified assets
Shortfall in provisions required against investment in share
Remaining deficit on account of revaluation of investments in securities after netting off any other surplus on the securities
Any investment exceeding the approved limit
Investments in subsidiaries which are not consolidated
Others (if any)

-	-
-	-
-	-
-	-
-	-
-	-
-	-
-	-

Sub-Total
Total eligible Tier-1 capital

27,048,204,165	26,531,571,021
-----------------------	-----------------------



Tier-2 (Supplementary capital)

General provision (Unclassified up to specified limit+ SMA+ off balance sheet exposure)

Assets revaluation reserves upto 50%

Revaluation reserve for securities up to 50%

All other preference shares

Others (any item approved by Bangladesh Bank)

Sub-Total

Deductions, if any

Total eligible Tier-2 capital
Total capital
Total risk weighted asset
Required capital
Surplus/(deficit)
Capital Adequacy Ratio (CAR)

On core capital (Tier-1)

On supplementary capital (Tier-2)

Amount in Taka	
31-Dec-22	31-Dec-21
182,362,219	195,202,038
-	-
-	-
-	-
-	-
182,362,219	195,202,038
-	-
182,362,219	195,202,038
27,230,566,384	26,726,773,059
22,848,707,311	20,290,829,741
2,284,870,731	2,029,082,974
24,945,695,653	24,697,690,085
119%	132%
118%	131%
1%	1%

15 Statutory reserve

Opening balance

Add: Transferred from profit during the year

Closing balance

1,889,879,355	1,767,400,439
152,278,107	122,478,916
2,042,157,462	1,889,879,355

In compliance with the Rule 6 of The Financial Institutions Regulations 1994, the company transfers 20% of its net profit after tax to statutory reserve for the respective period.

16 General reserve

Opening balance

Addition during the period

150,000,000	100,000,000
50,000,000	50,000,000
200,000,000	150,000,000

17 Retained earnings

Opening balance

Add (Less): Net gain or (loss) on FC transaction

Add: Net profit for the period

1,411,691,666	1,188,405,645
200,442	-
761,390,536	612,394,582
2,173,282,643	1,800,800,227

Less:

Transferred to statutory reserve for the period

Transferred to general reserve for the period

Stock dividend

Cash dividend

152,278,107	122,478,916
50,000,000	50,000,000
-	-
244,957,833	216,629,645
447,235,940	389,108,561
1,726,046,703	1,411,691,666

Closing balance
18 Contingent liabilities

In the normal course of business, the Company makes certain commitments in favor of clients and incurs some contingent liabilities. No material losses are anticipated as a result of these transactions. These contingent liabilities and commitments are quantified below.

Acceptances and endorsements

Letter of comfort (Note- 18.1)

Irrevocable letters of credit

Bills for collection

Indemnity bond

Corporate guarantee

-	-
247,158,051	247,158,051
-	-
-	-
-	-
-	-
247,158,051	247,158,051

18.1 Letter of comfort (Note- 18.1)

The Company gives the comforts to third parties on behalf of clients. Letter of comfort represents an undertaking that the Company will pay to third parties and it converts into loans or lease on the basis of the agreement with the clients. The maximum amount that the Company could be required to pay under the comforts is its principal amount.

Directors or officers

Government

Banks and other financial institutions

Customers

-	-
-	-
-	-
247,158,051	247,158,051
247,158,051	247,158,051



19 Income statement
19.1 Income

Interest, discount and similar income
Interest income on leases, loans and advances (Note- 20)
Investment income (Note- 22)
Other operating income (Note- 23)

Amount in Taka	
Jan-Dec'2022	Jan-Dec'2021

-	-
1,124,279,457	1,370,359,895
242,851,869	290,892,324
939,576,473	689,999,574
2,306,707,799	2,351,251,794

19.2 Expenses

Interest expenses on deposits, borrowings etc. (Notes- 21)
Salary and allowances (Note- 24)
Rent, taxes, insurance, electricity etc. (Note-25)
Legal expenses (Note- 26)
Postage, stamp, telecommunication etc. (Note- 27)
Stationery, printing, advertisement etc. (Note- 28)
Managing Director's salary and allowances (Note- 29)
Directors' fees (Note- 30)
Auditors' fees (Note- 31)
Charges on loan losses
Depreciation and repairs of company's assets (Note- 32)
Other operating expenses (Note- 33)

199,329,631	119,530,730
77,575,580	65,342,353
2,648,664	2,101,236
1,667,093	351,094
4,481,637	2,323,655
1,559,210	1,846,658
9,640,000	9,236,712
1,136,646	953,316
244,865	410,350
-	-
14,885,915	20,605,411
24,189,111	19,029,721
337,358,352	241,731,236

20 Interest income on leases, loans and advances

Interest income from term loan (Note- 20.1)

1,124,279,457	1,370,359,895
1,124,279,457	1,370,359,895

20.1 Interest income from term loan

Interest income from loan to large infrastructure projects
Interest income from loan to sustainable and eco-friendly projects
Interest income from loan to women entrepreneurs
Interest income from staff loan

925,636,870	1,081,998,963
197,070,442	286,099,470
1,080,918	1,715,285
491,227	546,177
1,124,279,457	1,370,359,895

21 Interest expenses on borrowings etc.

Interest expense on BB refinance scheme
Interest expense on borrowing from ADB under loan no Ban-3958
Interest expense on borrowing from IPFF II of World Bank
Interest expense on borrowing from JICA under loan no. BDP90, BDP109 and BDP115
Interest expense on borrowing from AFD under loan no.

33,127,530	30,828,177
29,467,750	-
32,597,123	17,456,040
103,456,064	71,246,513
681,165	-
199,329,631	119,530,730

22 Investment income

Interest income from commercial paper (Note- 22.1)
Interest income from bond (Note- 22.2)
Dividend income from preference share (Note- 22.3)
Interest on investment in Govt. treasury bill (Note-22.4)

7,500,000	-
101,048,539	106,336,046
100,005,171	184,556,279
34,298,159	-
242,851,869	290,892,324

22.1 Interest income from Commercial Paper

Computer Source Ltd.

7,500,000	-
7,500,000	-

22.2 Interest income from Bond

IDLC Zero Coupon Bond
Ashuganj Power Station Company Ltd.

-	21,178,680
101,048,539	85,157,366
101,048,539	106,336,046





4,481,637	2,323,655
12,541	372
392,996	491,148
672,000	672,000
2,208,548	-
1,195,552	1,160,135

Postage and courier
Telephone, telex, fax and mobile
Networking expenses
IT enabled services
Internet bandwidth charge

27 Postage, stamp, telecommunication etc.

1,667,093	351,094
272,624	139,500
1,362,044	186,316
32,425	25,278

Legal expense
Renewal & registration
Stamp cost

26 Legal expenses

2,648,664	2,101,236
43,584	3,632
1,749,943	1,373,604
855,137	724,000

Rent and taxes
Utility bills
Health insurance premium

25 Rent, taxes, insurance, electricity etc.

77,575,580	65,342,353
61,314,756	50,513,304
13,337,824	8,265,049
2,923,000	6,564,000

Salary and allowances
Bonus
Gratuity expenses

24 Salary and allowances

18,337,208	4,300,508
18,337,208	4,300,508

Other fees

23.1 Revenue from fees

939,576,473	689,999,574
142,270,974	163,670,359
2,735,243	2,726,951
772,728,298	518,264,486
18,337,208	4,300,508
1,782,299	435,999
1,500,000	-
222,451	601,270

Interest income (FDRs)
Interest on short term loan (STL)
Interest on SMD
Fees income (Note- 23.1)
Gain on disposal of assets
Gain (loss) on foreign currency exchange transactions
Recovery from write-off
Non eligible portion of CPF

23 Other operating income

34,298,159	-
33,716,894	-
581,265	-

Interest from investment in T-bills (91 days)
Interest from investment in T-bills (182 days)

22.4 Interest income from investment in Govt. T-bills

100,005,171	184,556,279
46,924,274	49,644,658
2,665,525	9,562,785
8,541,670	19,834,049
29,080,872	47,913,585
1,709,922	10,341,554
-	18,627,945
11,082,908	28,631,703

Kushihara Power Company Ltd.
Summit Gazipur II Power Ltd.
Bhairab Power Ltd.
Doreen Power House & Technologies Ltd.
Rajlanka Power Company Ltd.
Zodiac Power Chittagong Ltd.
Ace Alliance Power Ltd.

22.3 Dividend income from Preference Share

Jan-Dec'2022	Jan-Dec'2021
Amount in Taka	



28 Stationery, printing, advertisement etc.

Stationery and printing
Advertisement and publicity
Books and periodicals
Binding and spiral

Amount in Taka	
Jan-Dec'2022	Jan-Dec'2021
1,265,942	1,582,087
257,750	244,734
29,886	19,026
5,632	810
1,559,210	1,846,658

29 Managing Director's salary and allowances

Basic pay and allowances
Bonus
Gratuity expenses

7,920,000	7,920,000
1,720,000	1,316,712
-	-
9,640,000	9,236,712

The compensation for the Managing Director, including their salary, allowances, and bonuses, has been determined and disbursed in accordance with the Prudential Guidelines of Financial Institutions of Financial Institutions dated December 2011, DFIM Circular no.02 dated 25 March 2015 and DFIM (C)1054/55/2020-506 dated 25 Feb 2020.

30 Directors' fees

Honorarium for attending meeting

1,136,646	953,316
1,136,646	953,316

31 Auditors' fees

Annual statutory audit fees
Other audit fees

244,865	232,100
-	178,250
244,865	410,350

32 Depreciation and repairs of company's assets

Repair & maintenance
Depreciation on company's fixed assets (Annexure-A)
Loss on disposal of assets

609,327	982,813
14,276,588	19,622,597
-	1
14,885,915	20,605,411

33 Other operating expenses

Office maintenance
Training expenses
Bank charges & commission
Entertainment expenses
Promotional expenses
Consultancy and professional Fees
Project site supervision, travelling and conveyance expenses
CIB service charges
CSR expenses
IT maintenance

7,640,671	6,344,760
16,100	3,833
3,437,057	2,864,640
2,751,864	2,520,161
1,811,720	-
187,821	1,720,278
524,318	2,219,147
30,810	26,661
6,500,000	1,805,000
1,288,750	1,525,242
24,189,111	19,029,721

34 Provision for investment, leases, loans and advances

General provision
Specific provision
Covid 19 sepcial provision

136,834,965	(24,575,115)
199,148,092	459,752,507
-	218,367
335,983,057	435,395,758

35 Other provision

Provision on FDR
Provision on other assets

200,000,000	250,595,221
-	-
200,000,000	250,595,221

35.1 Provision on FDR

On FDR with other financial institutes

200,000,000	250,595,221
200,000,000	250,595,221





Amount in Taka	
Jan-Dec'2022	Jan-Dec'2021

36 Provision for income tax

Current tax (Note- 36.1)
Deferred tax (income)/expense during the period

675,419,094	811,872,192
(3,443,240)	(737,195)
671,975,854	811,134,997

36.1 Current tax expense

Income tax expense during the period
Previous year shortage of tax provision

673,718,701	811,872,192
1,700,393	-
675,419,094	811,872,192

36.2 Effective tax rate

Income tax expense (A)
Profit before income tax (B)
Effective tax rate (A/B)

671,975,854	811,134,997
1,433,366,390	1,423,529,579
46.88%	56.98%

36.3 Reconciliation of effective tax rate

Profit before income tax
Applicable tax rates
Income tax
Income tax on net inadmissible expenses and provision
Tax savings from tax rates lower than applicable rate
Effect of deferred tax
Income tax expenses
Effective tax rate

2022		2021	
%	Taka	%	Taka
	1,433,366,390		1,423,529,579
	40%		40%
	573,346,556		569,411,831
8.52%	122,073,572	19.63%	279,371,616
-1.40%	(20,001,034)	-2.59%	(36,911,256)
-0.24%	(3,443,240)	-0.05%	(737,195)
46.88%	671,975,854	56.98%	811,134,997
	46.88%		56.98%

37 Earning per share

Earnings Per Share (EPS) has been computed by dividing the net profit by the weighted average number of ordinary shares outstanding at the end of the year as per IAS 33 'Earnings Per Share'. EPS has been calculated as follows:

Net profit after tax
Weighted average number of ordinary shares outstanding
Earning Per Share (EPS) restated

761,390,536	612,394,582
230,800,000	230,800,000
3.30	2.65

37.1 Weighted average number of ordinary number of shares outstanding for the year ended on 31 December 2022

Particulars

Shares	Weighted average numbers of ordinary shares
230,800,000	230,800,000
230,800,000	230,800,000

38 Net Asset Value per share

Net assets (total assets less total liabilities)
Weighted average number of ordinary shares outstanding
Net Asset Value (NAV) per share

27,048,204,165	26,531,571,021
230,800,000	230,800,000
117.19	114.95

39 Net operating cash flow per share

Net cash flow from operating activities
Weighted average number of ordinary shares outstanding
Net operating cash flow per share

3,611,126,681	5,976,586,788
230,800,000	230,800,000
15.65	25.90





Amount in Taka	
Jan-Dec'2022	Jan-Dec'2021

40 Related party disclosures

BIFFL entered into a number of transactions with related parties in the normal course of business. The name of the significant related parties, nature of these transactions and amounts are set out below according to the provisions of IAS 24, 'Related Party Disclosures'. Transactions with related parties are executed on the same terms, including interest rate and collateral, as those prevailing at the time for comparable transactions with other customers of similar credentials and do not involve more than a normal risk.

40.1 Details of transactions (excluding salary and employment benefits) with key management personnels:

Name of the personnel	Types of transactions	Outstanding Balances as on 31 December 2022
Mohammad Sagir Hossain Khan (Chief Operating Officer)	Car loan	577,955
Mohammad Monirul Islam Khan FCS (Company Secretary)	Home loan	6,940,181
Sk Anower Sadat (Head of C&ID)	Car loan	728,587
Md. Tanvir Warsi (Head of CRMD)	Car loan	782,142
Md. Arifur Rahman (Head of SAMD)	Car loan	2,951,604
		11,980,468
Car loan:		
Balance at 01 January	4,321,192	6,342,639
Disbursements made during the period	4,966,662	-
Interest charged during the period	156,669	149,261
Loans adjusted during the period	(4,404,235)	(2,170,708)
Balance at 31 December	5,040,288	4,321,192
Home loan:		
Balance at 01 January	8,182,576	8,985,660
Disbursements made during the period	-	-
Interest charged during the period	332,604	396,917
Loans adjusted during the period	(1,575,000)	(1,200,000)
Balance at 31 December	6,940,181	8,182,576



41 Claim not acknowledged as Debt

There was no claim against the financial institution unacknowledged as debt as on 31 December 2022.

42 Receivable from directors

No amount is due from any of the directors of the Company.

43 Disclosure regarding branch

As at 31 December 2022, the Company has no branch in or outside Bangladesh.

44 Executive Committee and Audit Committee

To conform with the Bangladesh Bank guidelines, the Board of Directors of BIFFL constituted the Executive Committee (EC) and Audit Committee (AC) as a sub committee of the Board and the committee met several times during the year 2022.

45 Rounding off

Monetary figures in the financial statements have been rounded off to the nearest Taka.

46 Approval of the financial statements and declaration of dividend.

The Board of Directors in its 114th meeting held on 22 May 2023 approved the financial statements and recommended BDT 27,95,56,214 as cash dividend for the year ended on 31 December 2022 for onward approval by shareholders of the Company at 12th Annual General Meeting (AGM).

47 Events after the reporting period

As per IAS 10 'Events after the Reporting Period' events after the reporting period are those events, favorable and unfavorable, that occur between the end of the reporting period and the date when the financial statements are authorized for issue. Two types of event can be identified:

- (a) Adjusting events after the reporting period which provide evidence of conditions which existed at the end of the reporting period; and
- (b) Non adjusting events after the reporting period, are those that are indicative of conditions that arose after the reporting period.

The details about the events after reporting period are as follows:

- (i) BDT 37,016 is received from staff contributory provident fund account against the forfeited amount from outgoing employees for the year ended on 31 December 2022 and the amount is recorded under other

There is no other material adjusting or non adjusting events after the reporting period.

For Bangladesh Infrastructure Finance Fund Limited



Company Secretary



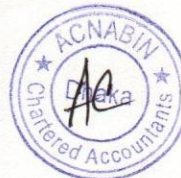
Chief Executive Officer



Director



Chairman



Annexure -A

Bangladesh Infrastructure Finance Fund Ltd.
 Schedule of Fixed Assets & Intangible Assets
 As at 31 December 2022

Amount in Taka

Particulars	Cost				Depreciation					Written down value	
	Balance as at 01.01.22	Addition during the year	Disposal/adjustment during the year	Balance as at 31.12.22	Rate	Balance as at 01.01.22	Charged during the year	Disposal/adjustment during the year	Balance as at 31.12.22	As at 31.12.22	As at 31.12.21
Office Premises	293,064,167	-	-	293,064,167	2.50%	136,197,534	4,103,871	-	140,301,405	152,762,762	156,866,633
Office Equipments	19,757,890	-	-	19,757,890	20.00%	10,639,967	3,309,532	-	13,949,499	5,808,391	9,117,922
Office Furnitures & Fittings	37,146,004	390,018	-	37,536,022	10.00%	12,330,118	3,734,626	-	16,064,744	21,471,278	24,815,885
Office Vehicles	32,634,623	-	-	32,634,623	20.00%	28,920,459	2,753,561	-	31,674,019	960,603	3,714,164
IT Equipment	17,253,568	1,053,728	-	18,307,296	33.33%	16,920,940	374,999	-	17,295,939	1,011,356	332,628
Office Intangibles	9,085,360	-	-	9,085,360	50.00%	285,360	-	-	285,360	8,800,000	8,800,000
Total	408,941,611	1,443,746	-	410,385,357	-	205,294,378	14,276,588	-	219,570,966	190,814,389	203,647,232

